Manage financial performance within a budget

D1.HFI.CL8.03
D1.HFA.CL7.02
D2.TRM.CL9.09

Trainee Manual

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William Angliss Institute
Specialist centre for foods, tourism & hospitality

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Introduction to trainee manual

To the Trainee

Congratulations on joining this course. This Trainee Manual is one part of a 'toolbox' which is a resource provided to trainees, trainers and assessors to help you become competent in various areas of your work.

The 'toolbox' consists of three elements:

A Trainee Manual for you to read and study at home or in class

A Trainer Guide with Power Point slides to help your Trainer explain the content of the training material and provide class activities to help with practice

An Assessment Manual which provides your Assessor with oral and written questions and other assessment tasks to establish whether or not you have achieved competency.

The first thing you may notice is that this training program and the information you find in the Trainee Manual seems different to the textbooks you have used previously. This is because the method of instruction and examination is different. The method used is called Competency based training (CBT) and Competency based assessment (CBA). CBT and CBA is the training and assessment system chosen by ASEAN (Association of South-East Asian Nations) to train people to work in the tourism and hospitality industry throughout all the ASEAN member states.

What is the CBT and CBA system and why has it been adopted by ASEAN?

CBT is a way of training that concentrates on what a worker can do or is required to do at work. The aim is of the training is to enable trainees to perform tasks and duties at a standard expected by employers. CBT seeks to develop the skills, knowledge and attitudes (or recognise the ones the trainee already possesses) to achieve the required competency standard. ASEAN has adopted the CBT/CBA training system as it is able to produce the type of worker that industry is looking for and this therefore increases trainee chances of obtaining employment.

CBA involves collecting evidence and making a judgement of the extent to which a worker can perform his/her duties at the required competency standard. Where a trainee can already demonstrate a degree of competency, either due to prior training or work experience, a process of 'Recognition of Prior Learning' (RPL) is available to trainees to recognise this. Please speak to your trainer about RPL if you think this applies to you.

What is a competency standard?

Competency standards are descriptions of the skills and knowledge required to perform a task or activity at the level of a required standard.

242 competency standards for the tourism and hospitality industries throughout the ASEAN region have been developed to cover all the knowledge, skills and attitudes required to work in the following occupational areas:

- Housekeeping
- Food Production
- Food and Beverage Service
- Front Office

- Travel Agencies
- Tour Operations.

All of these competency standards are available for you to look at. In fact you will find a summary of each one at the beginning of each Trainee Manual under the heading 'Unit Descriptor'. The unit descriptor describes the content of the unit you will be studying in the Trainee Manual and provides a table of contents which are divided up into 'Elements' and 'Performance Criteria". An element is a description of one aspect of what has to be achieved in the workplace. The 'Performance Criteria' below each element details the level of performance that needs to be demonstrated to be declared competent.

There are other components of the competency standard:

Unit Title: statement about what is to be done in the workplace

Unit Number: unique number identifying the particular competency

Nominal hours: number of classroom or practical hours usually needed to complete the competency. We call them 'nominal' hours because they can vary e.g. sometimes it will take an individual less time to complete a unit of competency because he/she has prior knowledge or work experience in that area.

The final heading you will see before you start reading the Trainee Manual is the 'Assessment Matrix'. Competency based assessment requires trainees to be assessed in at least 2 – 3 different ways, one of which must be practical. This section outlines three ways assessment can be carried out and includes work projects, written questions and oral questions. The matrix is designed to show you which performance criteria will be assessed and how they will be assessed. Your trainer and/or assessor may also use other assessment methods including 'Observation Checklist' and 'Third Party Statement'. An observation checklist is a way of recording how you perform at work and a third party statement is a statement by a supervisor or employer about the degree of competence they believe you have achieved. This can be based on observing your workplace performance, inspecting your work or gaining feedback from fellow workers.

Your trainer and/or assessor may use other methods to assess you such as:

- Journals
- Oral presentations
- Role plays
- Log books
- Group projects
- Practical demonstrations.

Remember your trainer is there to help you succeed and become competent. Please feel free to ask him or her for more explanation of what you have just read and of what is expected from you and best wishes for your future studies and future career in tourism and hospitality.

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Unit descriptor

Manage financial performance within a budget

This unit deals with the skills and knowledge required to Manage financial performance within a budget in a range of settings within the travel industries workplace context.

Unit Code:

D1.HFI.CL8.03
D1.HFA.CL7.02
D2.TRM.CL9.09

Nominal Hours:

45

Element 1: Allocate budget resources

Performance Criteria

1.1 Allocate funds according to agreed priorities and adopt sound financial management strategies

1.2 Discuss with appropriate colleagues prior to implementation

1.3 Consult and inform all relevant stakeholders in relation to resource decisions

1.4 Promote awareness of the importance of budget control

1.5 Maintain detailed records of resource allocation in accordance with enterprise financial procedures and systems

Element 2: Monitor financial activities against budget

Performance Criteria

2.1 Check actual income and expenditure against budgets accurately and at regular intervals and prepare financial and/or statistical reports

2.2 Identify and report discrepancies according to enterprise policy and significance of deviation

2.3 Advise appropriate colleagues of budget status in relation to targets within agreed timeframes

Element 3: Identify and evaluate options for improved budget performance

Performance Criteria

3.1 Assess existing costs and resources and identify areas for improvement

3.2 Discuss desired outcomes with relevant colleagues

3.3 Research new approaches to manage discrepancies

3.4 Undertake appropriate research to investigate new approaches

3.5 Define and communicate clearly the benefits and disadvantages of new approaches

3.6 Take account of impacts on customer service levels and colleagues in developing new approaches

3.7 Present recommendations clearly and logically to the appropriate relevant stakeholders

Element 4: Complete financial/statistical reports

Performance Criteria

4.1 Complete all required financial and statistical reports accurately and within designated timelines

4.2 Produce clear and concise information to enable informed decision making Forward reports promptly to the appropriate person/department

4.3 Forward reports promptly to the appropriate person/department

Assessment matrix

Showing mapping of Performance Criteria against Work Projects, Written Questions and Oral Questions

The Assessment Matrix indicates three of the most common assessment activities your Assessor may use to assess your understanding of the content of this manual and your performance - Work Projects, Written Questions and Oral Questions. It also indicates where you can find the subject content related to these assessment activities in the Trainee Manual (i.e. under which element or performance criteria). As explained in the Introduction, however, the assessors are free to choose which assessment activities are most suitable to best capture evidence of competency as they deem appropriate for individual students.

		Work Projects	Written Questions	Oral Questions
Element 1: Allocate budget resources				
1.1	Allocate funds according to agreed priorities and adopt sound financial management strategies	1.1	1	1, 2
1.2	Discuss with appropriate colleagues prior to implementation	1.1	2	3
1.3	Consult and inform all relevant stakeholders in relation to resource decisions	1.1	3	4
1.4	Promote awareness of the importance of budget control	1.1	4, 5	5
1.5	Maintain detailed records of resource allocation in accordance with enterprise financial procedures and systems	1.1	6, 7	6, 7
Element 2: Monitor financial activities against budget				
2.1	Check actual income and expenditure against budgets accurately and at regular intervals and prepare financial and/or statistical reports	2.1	8 – 11	8, 9
2.2	Identify and report discrepancies according to enterprise policy and significance of deviation	2.1	12, 13, 14	10, 11
2.3	Advise appropriate colleagues of budget status in relation to targets within agreed timeframes	2.1	15, 16	12

		Work Projects	Written Questions	Oral Questions
Element 3: Identify and evaluate options for improved budget performance				
3.1	Assess existing costs and resources and identify areas for improvement	3.1	17, 18, 19	13, 14
3.2	Discuss desired outcomes with relevant colleagues	3.1	20, 21, 22	15
3.3	Research new approaches to manage discrepancies	3.1	23 – 26	16
3.4	Undertake appropriate research to investigate new approaches	3.1	27	17
3.5	Define and communicate clearly the benefits and disadvantages of new approaches	3.1	28	18, 19
3.6	Take account of impacts on customer service levels and colleagues in developing new approaches	3.1	29 – 32	20
3.7	Present recommendations clearly and logically to the appropriate relevant stakeholders	3.1	33, 34	21
Element 4: Complete financial/statistical reports				
4.1	Complete all required financial and statistical reports accurately and within designated timelines	4.1	35, 36, 37	22, 23
4.2	Produce clear and concise information to enable informed decision making Forward reports promptly to the appropriate person/department	4.1	38, 39	24
4.3	Forward reports promptly to the appropriate person/department	4.1	40, 41, 42	25

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Glossary

Term	Explanation
AGM	Annual General Meeting
Assets	Things of value – such as cash, stock, and equipment – owned by the establishment.
Blind Receival	Taking a delivery without reference to the accompanying documentation from the supplier and generating own paperwork to reflect what was received and then comparing the two documents to identify errors
Budget line	A nominated item within a budget: for example 'Commission earned' may be a budget line in an Income budget; 'Stationery' may be a Budget line for 'Office expenses'
Budget notes	Explanatory notes attached to budgets explaining details within them
Defaulting	Not making a payment on time
Equity	The difference between assets and liabilities
Expenses	Costs; money going out of a business
FIFO	First In, First Out stock rotation principle
Financial accounting	The area of accounting that provides information to external users to assess the financial performance and position of an organisation
Hard data	Facts, figures, statistics
KPI	Key Performance Indicator – a statistic/event used to track and determine business performance against expectations revenue-generating centre
Liabilities	Amounts owed by the establishment – such as overdrafts, loans and goods that have been purchased on credit.
Management accounting	The area of accounting that provides information to management for planning, control and decision-making
Negative cash flow	Where expenses exceed income
Proprietorship	The interest – or equity – that the owner has in the business

Term	Explanation
Projected revenue or expenses	Revenue the business anticipates earning, or expenses they expect to face. Also known as 'expected revenue or expenses'
ROI	Return On Investment
Revenue	Sales; money coming into the business
Revenue-generating centre	Also known as a 'revenue centre': any part of the premises that generates income for the business
SOP	Standard Operating Procedure
Soft data	Opinions, thoughts

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Element 1:
Allocate budget resources

1.1 Allocate funds according to agreed priorities and adopt sound financial management strategies

Introduction

This unit applies to individuals responsible for managing and controlling a budget in an industry context.

The budget may be for an entire small organisation, for a section of a larger organisation, or for a particular project or activity.

Senior operational personnel or supervisors undertake this role.

This section considers the basics and basis of budgeting and budgets, looks at Profit and Revenue Centres, names a range of budgets, discusses the allocation of funds to budgets, explains the concept of budget notes and identifies financial management strategies in relation to the budget process.

Budgeting and budgets

One of the tools that assists owners and managers of a business to plan and monitor the flow of money through their business is a good budgeting system.

The product of this system is a document called a budget.

They are expressed in:

- Monetary terms
- In terms of quantities such as number of the number of tickets sold or the number of clients on a tour.

The plan or budget should help managers monitor the performance of the business.

Budgets are short-term plans of up to one year.

Plans for the longer term are not usually made into budgets because there are so many unknown factors as the term grows longer that putting precise quantity or monetary values on plans becomes difficult.

Long-term plans are usually more about decisions to take on new kinds of business and other such major changes in business direction.

The basis for budgets

Budgets function on the basis that:

- A business will have a budgetary goal – that is, what it wants to achieve in terms of a financial outcome for the period in question
- This goal will be achieved in theory by following a budgetary plan – that is, a forecast of what income and expenditures are expected for the period
- Progress for the period will be monitored by budgetary control – that is, on–going comparisons between predicted and actual figures, combined with action to rectify variances.

In essence, a budget can be seen as a guide, a map of the upcoming period in a financial sense.

Centres

For a small business, there is usually one budget showing the planned revenue and expenses for the whole operation.

For a larger business, budgets can be compiled a number of different ways.

Managers can find it useful to divide the business into segments or activity centres of two types.

Profit Centre

One approach is the use of Profit Centres or Revenue Centres.

These are parts of a business selling goods or services to customers and also incurring expenses.

Part of the planning and managing the financial performance is about *how to make each profit centre earn a profit/maximise its profit*.

The rooms division of a hotel, the dining room, conference centre, bars and spa could all be Profit Centres.

Cost Centres

The other type of segment/the other approach is the Cost Centre approach.

These are parts of a business which do not sell anything but nonetheless incur expenses.

Planning and managing the financial performance in this context is about *managing expenses*.

Examples of cost centres are Finance and Marketing departments.

Types of budgets

Budgets used by a business may include:

- Cash budgets – concerns the estimated cash inflow, cash outflow and cash position of a business
- Departmental budgets – budgets established for specific departments as named by the budget title
- Wages budgets – to forecast labour expenses
- Project budget – developed to accommodate the needs of specific event/project
- Purchasing/purchases (or 'Materials') budget – to address inventory required for a period in order to attain a nominated outcome or sales figure/outcome (such as buying the raw materials or products required to prepare a finished product/saleable item)
- Sales budgets – to forecast sales revenue
- Cash flow budgets – showing actual cash coming in to the business and flowing out from the business for the budget period
- Inventory budget – planning quantities to be held in stock, and the amount of money invested in stock
- Overhead budgets – concerns other estimated operating expenses (such as rent, rates and other direct costs except goods/materials and labour
- Capital Expenditure budgets – plans for long-term assets to be purchased, replaced, upgraded

Often budgets are created for each different department within a business as well as for the organisation as a whole.

Also in a larger business, there are budgets to assist in managing specific expenses such as labour and rent as well as budgets to manage individual revenue streams.

Allocating funds

Fixed budgets and flexible budgets

Fixed budget

A fixed budget is one where the budget is prepared based on fixed revenue or other relevant levels of activity.

The budget does not look at any variations that might occur in trade (that is, increases or decreases in revenue or levels of activity) – the budget is prepared based only on one set of possibilities.

This type of budget is an alternative to the 'Flexible budget' below.

Flexible budget

The advent of computer programmes to assist in budgeting processes has seen an increase in the incidence of these budgets.

A flexible budget creates a number of different scenarios that could possibly arise in terms of revenue or other relevant levels of activity.

For example, the dining room may create a flexible budget based on different projections for patronage at, say, 50% of seats sold (given that we know the average sale per patron), 60%, and 70%.

This flexibility can be extended into generating a range of budgets incorporating these variations into two seatings per meal session, if that is a possibility.

As the trading period/year progresses, the data can be monitored to identify which of the options prepared is appearing to be the most accurate (or best match) and then that budget is adopted.

This is a great system as it builds in genuine flexibility in that it is much easier to adjust the budget to meet the emerging facts/figures. Another bonus of this approach is that many/some expenses stay the same (for example lighting, heating, cooling, refrigeration) regardless of the level of trade/sales.

Priorities

Every organisation will have different priorities for its allocation of funds – and these allocations/priorities will even change within the organisation over time.

It is traditional for the objectives and plans businesses have set for themselves to guide this resource allocation: the objectives and plans deemed to be most important will attract a higher level of funding than lesser ones.

Nonetheless, areas where the premises are required to adhere to various legal requirements (such as safety and other compliance issues/demands from government authorities) will also be allocated sufficient funding to achieve compliance.

These requirements are absolutely necessary for the operation of the business and may well take a large part of available funding: the point being these necessities reduce the amount of *discretionary* funding available for distribution elsewhere/to other budgets.

Involving others in the allocation process

Many large businesses will involve several people/departments in funding allocation, striving to obtain a balanced approach to the process, and enabling all players to advocate for their particular, individual causes.

Such an approach also allows the entire organisation to become aware of the problems, priorities and difficulties faced by *other* departments – a critical objective is the organisation *as a whole benefits* from the resource allocation.

Great care must be taken to ensure internal politics do not govern the process: funds **must not be allocated** on the basis of the strength of someone's personality, or simply because one particular department head has the ability to present persuasive arguments and others do not have a similar capacity.

Objectivity and consensus are essential considerations when allocating resources.

The 'team' which eventually determines how monies are to be apportioned must agree on the final distribution of the scarce monetary resources: they may not agree on their own departmental allocations (or specific line allocations of funds), but they must agree *overall* and in principle that the final decisions are in the best interests of the business, and will support the growth of the operation for the period in question.

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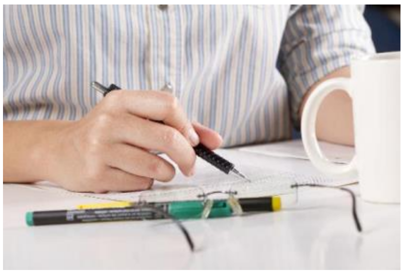
Where proponents of certain initiatives are unable to persuade their colleagues of the logic behind, and the benefits of, their proposals then it must be said resource allocation to such schemes should be delayed or deferred (note the term 'denied' has not been used) until such consent can be achieved.

The role of Head Office



In some organisations funding allocation may be determined by head office – usually, but not always, in consultation with on-site management.

Head office may elect not to involve on–site managers and simply use statistics from the previous period – coupled with their understanding of trends and how business can be expected to perform – to allocate money for the upcoming period.

While this may be seen as ignoring the idiosyncratic 'local' factors and failing to factor in 'local knowledge' there is an *objective* orientation to this approach that has much to recommend it: this process is very much an analytically–based approached, using a purely statistical method (devoid of human influence and bias) to arrive at monetary allocations.

This approach treats every business in the organisation as equal and thus has much to recommend it: those who do not support this approach argue failure to take site-by-site factors into account is illogical, counter–productive and fundamentally flawed.

There is no doubt it would seem to make sense to 'prop up' an office/branch or business having problems, with a view to turning the situation around. However, some will argue such an approach is defective and the best avenue would be to divest the chain of any business unable to meet its targets.

Owner-operated businesses

In other owner-operated businesses the owner–operator may be the sole person responsible for determining budget allocations.

In such cases, personal preference plays a big role, and the owner-operator may well allocate substantial sums of money to 'pet' projects at the expense of other more logical aims.

Such an approach does not make the owner–operator 'wrong' – it is simply proof the free enterprise system is alive and well. The 'pet' project may be the very reason the person got into business in the first place, and remains the driving force behind them staying in business.

Need for flexibility

Plans of the organisation must be set 'in jelly', and not 'in concrete' in order to allow the operation to respond as required to the dynamic environment in which all businesses function.

The same applies to budgets.

Changes in legislation, world events, markets, supplies/suppliers, as well as demands from government authorities may individually, or in combination, cause such a situation.

Other factors

As mentioned above, in a large establishment, several departments may be involved in the budgeting decisions, and naturally, allocations will depend on numerous factors:

- Projected future plans, activities and directions of the business and of each component department – there may at certain times be a change of organisational (or departmental direction).

  This change may involve a new target market for a *department* or perhaps the business has decided to reorient its *overall* image to attract a different demographic/customer profile.

- Priority ranking – using a process of negotiation and consultation at the budget meetings it is to be expected reasonable adults can eventually agree on a set of establishment-wide priorities for budget allocations to benefit the entire organisation.

  By using reasoned argument, and with reference to valid data, those involved in determining resource allocations should be able to agree on the way resources are allocated.

- Nature of the individual business/department(s) – precise budget allocations are, regardless of anything else, going to be influenced by characteristics such as size of businesses/departments (traditionally the bigger departments tend to be allocated an increasingly large proportion of the cake – size can also be based on number of staff, revenue generated, customers serviced).

- Specified marketing aims – while it is a given organisations seek to create a return on investment there will be times when profit is not the aim of certain activities for a given period.

  At some stage it *may* be the case an operation (or a department within an operation) seeks to achieve a goal which is not (at least in the short term) profit related.

  It may be the case management is determined to raise their profile, carve out a revised market niche, or attract a fresh market segment – in order to achieve this aim, extra funding may be allocated with no immediate expectation of increasing profit, or of even returning any profit.

  The intention may be this short-term loss (or break-even) will be replaced by a substantial and long-term profit.

- "I have the power and I call the shots" – in the same way owner–operators may unilaterally determine budget allocations regardless of petitions made to them by staff or departments, some managers will also be single–minded in resource allocation.

  This approach may be based on their years of experience in the industry, a qualification they have earned, or on simple gut feel – in many cases their thinking may be "it's my neck that's on the line, so I'm the one who'll make the decisions!"

All the above help to explain why, after the event, there is rarely total agreement about how the funds were allocated.

In addition it is always possible careful, reasoned and considered allocation of funds can be overturned almost overnight: some unforeseen event can mean the priorities, plans and objectives of yesterday now count for nothing.

In these cases a re-orientation to funding is demanded and monies are re-distributed according to the pressures of the new circumstances.

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Budget notes

Many budgets (which are statistical in nature) will have written notes attached to them.

These notes may be called ‘Explanatory notes’ or simply ‘Budget notes’.

Where they are used, they comprise numerous relatively short notes for (nearly) every budget figure.

They function to tell the reader how the figures listed in the budget were arrived at.

They explain the thinking of the person(s) who set the budget at the outset, and present the rationale behind the budget decisions/figures that were finally utilised.

This means they will not only state the expected increases or falls in certain areas, but explain why they think this will occur.

The notes assist understanding of the overall budget by including the thought processes that underpinned the decision making at the time: their inclusion is beneficial as it gives the raw statistics a basis in real life, and demonstrates how the stated expectations were arrived at.

Financial management strategies

It is recommended all business operate using sound financial management strategies.

Indeed in many cases there are legislated obligations on certain business structures and nominated/key position holders to exercise prescribed fiduciary obligations.

This said, financial management strategies can vary between enterprises – smaller businesses tend to adopt fewer of them than larger businesses, and what they use are often less detailed and prescriptive than for bigger organisations.

Within the context of this unit ‘financial management strategies’ relate to the budget process.

The strategies inherent in this budget process may be seen as comprising the following steps/stages:

- Planning – relating to the development of written plans with goals, objectives and KPIs to identify what the business wants to achieve and identify what it must consider
- Allocating resources– relating to allocating physical resources and funding to identified objectives for the business to enable attainment of the agreed plans
- Projecting revenue – forecasting sales in each identified revenue category for the business

- Projecting expenses – in relation to projected sales and identified other costs expected during the budget period
- Developing controls – for implementation of budgets such as creation of budget lines, determination of ‘red flags’ for variances and protocols for obtaining/releasing money and safe-guarding/banking money
- Establishing monitoring activities and systems – to enable tracking and analysis of income and expenditure against budgets/targets

- Creating reporting protocols – such as identifying depth, regularity and nature of reports to share and communicate progress of budgets and the valuation of ‘actual’ against ‘projected’ figures
- Responding to variations – when unacceptable issues are identified in order to retrieve ‘out of control’ situations or take other appropriate remedial action, and taking other actions to optimise and/or extend positive/acceptable results.

For more information

Visit the following:

http://www.accountantnextdoor.com/budgeting-and-budgetary-processes/

http://accounting-financial-tax.com/2009/02/essential-five-steps-on-budgeting-process/

Specialist financial skills

It is always recommended the business utilise specialist financial skills.

This is necessary to:

- Maintain suitable/necessary financial records
- Analyse results/outcomes and compare them to projections
- Identify and advise the business in relation to relevant legal and taxation obligations.

Use of such skills may require:

- Studying a specific accounting/financial qualification – as distinct to this generalist unit
- Engaging the services of a paid external professional organisation – preferably with demonstrated experience in a relevant industry type/sector.

1.2 Discuss with appropriate colleagues prior to implementation

Introduction

Before any budgets are implemented it is standard practice for there to be discussions about them.

This section discusses the need for these discussions and identifies who may be involved in the talks.

Need for discussion

Communications regarding budgets are referred to as ‘budget discussions’.

Budget discussions are essentially a forum for relevant people (see below) to:

- Make input into budget decisions – by presenting their thoughts and concerns about certain issues which will, or are likely to, affect the business
- Advise people and be advised of new/revised plans/directions – which will impact the business

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- Notify people and be notified of parameters and restrictions impacting on thoughts and operations
- Be told what the budget situation is – in general terms and with respect to individual budgets
- Be told of the budgets which have been formulated – and/or approved by those responsible for budget preparations.

Those involved in the discussions

Personnel involved in budget discussions will vary between organisations, and are likely to alter over time/as different circumstances change.

The list below is indicative of what may apply.

Owners and senior management

The owners and senior management will always be at these meetings because:

- It is their money, and their business and they have responsibility for it
- They may have knowledge about the business and its future proposed direction/s which will dramatically impact on resource allocation and the spending of money – for example they may have 'inside information' about:
  - Changes in direction of the business
  - Strategic plans for the business
  - Movements into or out of certain target markets
  - Building new relationships with other businesses – such as mergers, agencies, franchises or joint ventures.

Accountants

They are commonly involved because:

- They can bring their knowledge of the previous trading periods and financial results to the table
- They are also able to contribute suggestions relating to accounting issues such as:
  - The types of budget and financial reports to be prepared
  - The nature of the accounting process and internal requirements relating to compliance with both legally imposed, and internally required, obligations
  - Acceptable ways to structure budgets.

Legal advisors

Legal advisors are not *always* present at budget meeting/discussions.

They tend to be contacted and involved only when an issue arises where it is believed legal input or advice is necessary.

They can advise on financial aspects such as:

- Legal responsibilities relating to reporting, record keeping and general compliance

- The legality of proposed plans to determine whether or not they breach legislated requirements
- Issues such as legal tax minimisation (in conjunction with financial advisors and accountants).

Bankers

Bankers are not always present at these meetings.

Where the business is seeking a loan, or has an existing loan it needs to service, there may be a requirement the banking institution involved be included in budget discussions.

Bankers can:

- Provide advice regarding loan alternatives
- Provide investment advice for surpluses
- Give an insight (without naming names/businesses) into the financial performance and arrangements of similar other businesses for the purpose of comparison.

Investors

Where the business has shareholders there may also be a need for those shareholders (or certain of them, or their representatives) to be present to make budget input.

Shareholders/investors who are entitled to attend this meeting may make comment on any aspect of the budget process but seem commonly interested in only two things:

- The amount of money being paid to management
- The return they can expect on their investment.

Department managers and supervisors

For departments (managers and supervisors), participation in making input to the budget process in incredibly vital because it has the potential to have tremendous on-going impact on the running of their department, section or area in terms of:

- Funding allocation – this is (usually) the amount of money the department is allowed to spend as allocated by their various budgets and budget lines.

  As a general rule most supervisors prefer to have a bigger expenditure budget than a smaller one however many expenditure budgets are calculated as a set percentage of expected/projected income/revenue figures.

  Where 'project work' is being undertaken (such as the refurbishing of guest rooms) it is common for a nominated amount to be allocated independent of revenue projections.

- Revenue targets – the budget process will need to determine potential revenue for each revenue-generating centre.

  Supervisors will commonly strive to keep this 'projected revenue' figure as small as possible to make it easier to hit their targets (being able to attain the 'projected' revenue figure may be a KPI) which, in turn, can have implications for the promotion undertaken by the business, continued employment (job security for employees) and their own annual bonuses.

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Workers

Some businesses (but certainly not all) include workers in budget discussions.

They may do this to:

- Capture their input and insight – which is regarded as unique and relevant as it is always directly related to business operations
- Make sure they receive first-hand information about how the business is performing – and what it expects into the future.

1.3 Consult and inform all relevant stakeholders in relation to resource decisions

Introduction

Those impacted by budgets will need to be consulted and informed of the final decisions made in relation to budget allocations.

This section suggests who may need to be communicated with in this respect and identifies how the necessary information may be shared.

Who could be involved?

Those who may be informed include:

- Senior management – who are very likely to have been involved in discussions but who will still need to be notified of:
  - The *final* result(s) and the actual figures which have been allocated to individual budgets
  - Rationale for decisions made
- The accounts department – so they can:
  - Enter the figures into appropriate software
  - Create the required budgets
  - Generate necessary budget lines and codes
- Budget committee – where the (usually large) organisation has a budget committee, they will need to be advised of resource decisions because they:
  - Will be responsible for ongoing monitoring of income and revenue against projections
  - May also be required/expected to develop proposals for increasing revenue streams and limiting/reducing expenditures, as appropriate
- Heads of Departments and Supervisors – middle-level management commonly have daily control over the revenue raising areas of the property and power over relevant areas of expenditure: it is therefore essential these personnel are informed of decisions

  It is predominantly these individuals who are responsible for generating the bulk of the income, and whose decisions have immense impact on the profitability and viability of the business: while they operate under direction from senior management, they make numerous day-to-day and on-the-spot decisions which have the potential to greatly impact on budget figures
- Board of Directors – not all organisations/businesses have a Board of Directors but where they do there is a need to advise them of the budget allocations to:
  - Give them a better understanding of the organisation and its financial parameters and position
  - Help compliance with legally imposed fiduciary obligations
  - Assist them make business management and/or investment decisions

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  - Enable them better monitor, analyse and oversee the operation of the business

- Establishment staff – it will commonly fall to the head of department to explain the latest budget allocations to departmental staff

  This news is traditionally passed on verbally in a formal departmental meeting – it is not usual to have printed material passed around. The head of department/supervisor commonly sets the scene by explaining the general budgetary context and the trading situation the business finds itself in – *general* statements are normally used to describe the current situation as it compares to the last period

  

  Next, further general statements are made about what management expects from the department (and by association, the staff): it is not common to pass on exact monetary figures to the staff as this is usually seen as material which is 'commercial in confidence'

  Staff may thus be told there is an expectation, for example, they are expected to increase revenue in the upcoming 12-month period by an average of 10% over the previous year: this indicates management requirements without disclosing the actual figures involved

  Similarly, staff may be informed, for example, there is an expectation expenses are reduced by 5%

  It is always important to couch this sort of news within a positive context wherever possible to reduce the possibility of staff disillusionment, and the likelihood employees may misinterpret 'economic imperatives' as signalling their job is in jeopardy: when staff pick up this sort of message they commonly start looking for employment elsewhere because they can 'see the writing on the wall'.

- Strategic alliance partners – will be informed only in relation to budgets in which they have a contractual or other financial interest.

Communicating the information

Traditional ways to inform those concerned about budget allocations include:

- At departmental meetings – where information is delivered verbally, face-to-face.

  The information may be shared:
  - In a special meeting convened just for this purpose
  - As an agenda item within a normal/regular staff meeting
- Through all-staff meetings – where a series of overhead projections (or a PowerPoint presentation) is used to communicate relevant information to workers
- Via internal memos or emails – sent to staff, which should be headed 'Confidential – Not for Release' (or similar)
- Using paper-based documentation – outlining, without being too specific, the allocations which have been decided on.

1.4 Promote awareness of the importance of budget control

Introduction

Earlier notes have indicated the critical role budgets play in the viability and life of a business or department.

This section looks at the need to share the importance of budget control throughout a business and identifies topics commonly requiring the attention of others.

Need to promote awareness

Not all workers know about budgets and not all employees are particularly interested in them.

Supervisors and managers thus have a duty/responsibility to educate staff, and to promote an awareness of the importance of budget control.

It is necessary to do this in order to:

- Give insight into the operating parameters of the business – it is important staff understand the need to pay attention to budgets and how these impact the work of the business
- Share targets to be achieved – in terms of maximum costs/expenses they need to help control and necessary sales and they need to strive to achieve
- Let them know the business monitors and checks the performance of staff and cost/revenue centres – which helps motivate them
- Demonstrate respect for their understanding of these issues – as this communication implicitly indicates the organisation acknowledges their appreciation of the factors which impact viable business operation.

Topics to communicate

The following points often need to be communicated to others:

- Importance of allocating costs to correct budgets and budget lines – as per the Schedule of Accounts
- Need to allocate revenues to correct revenue centres – in accordance with correct Schedule of Accounts coding
- Necessity of obtaining authorisation prior to making purchases – in-line with internal protocols
- Need to complete required documentation – to assist in monitoring and tracking
- Requirement to regularly compare actual performance with budgetary performance – in order to:
  - Maintain awareness of actual business performance
  - Promptly identify and rectify posting errors
  - Enable appropriate corrective action to be taken at the earliest opportunity

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- Need to review budgets in the light of changed circumstances – as this applies in relation to:
  - Internal and external causal factors
  - Sales and expenditure issues
- Changes to organisational priorities – as these may apply to:
  - Plans in relation to business direction, goals and objectives
  - Need for increased income
  - Need for decreased expenditure
  - Need to generate increased trade/turnover regardless of profit outcomes
  - Need to respond to opposition activities

- Importance of accuracy – when completing budget-related documentation
- Need to forward information/data promptly – to others and/or administration so they can process it in a timely manner
- Critical role played by budgets – in relation to:
  - The overall viability of the business
  - Job security
  - Growth potential.

Ways to promote awareness

The standard ways to communicate this need include:

- Meetings and discussions – with individual staff and groups of staff at staff meetings and briefings
- As part of standard internal training – with a special focus on budgets/financial matters
- Use of actual budgets and statistics – to:
  - Illustrate points
  - Make comparisons
  - Undertake calculations
  - Draw conclusions
  - Determine action required
  - Discuss outcomes

- Involvement of others – as part of the information/education process, such as inclusion of owners, senior managers and/or specialist accounting staff/personnel.

1.5 Maintain detailed records of resource allocation in accordance with enterprise financial procedures and systems

Introduction

Detailed records underpin effective accounting.

This section identifies records which may need to be kept and the financial procedures and systems which need to be addressed.

Records required

It is vital to be able to track income and expenses, as well as the distribution of physical assets.

Initially, a division will be made between income, expenditure and physical resources.

Income records

These records are kept for audit purposes, and to provide documentary proof of figures entered into budget lines.

The income records that need to be kept include:

- Audit rolls – from cash registers as evidence sales occurred, and from which register sales were made and from which department, the income was generated
- Daily takings sheets – these are the sheets completed at the end of each day's trading by those counting the tills, and which show an overview of income on a register-by-register and department-by-department basis
- Daily cash/cash receipt book – a more permanent record of what was contained in the Daily takings sheet together with a record of what debtors have paid to us
- Individual accounts – these may be for in-house guests or they may be for individuals or organisations who use business facilities (such as dining, accommodation, functions, account purchases) and have established credit facilities with the organisation.

  Terms of these credit facilities differ, but 7 days net and 30 days net are common.
- Debtors ledger – this is a breakdown of what each company that deals with the business owes the organisation
- Banking receipts – this is a stamped bank receipt verifying takings were paid into the bank.

In theory, an auditor should be able to view all the cash register audit rolls/tapes for all cash registers for the day in question, and these should match up to the Daily takings sheet.

The Daily takings sheet should then match with the Daily cash book.

The total of the Daily cash book should then match with the receipt from the bank for monies deposited.

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Expenses

These records, too, are kept for audit purposes, and to provide documentary proof of figures entered into budget lines.

The expenses records that need to be kept include:

- Purchase Orders – as proof a valid purchase was authorised, and as an initial indication as to which department (and perhaps budget line/code) the purchase was intended for
- Delivery dockets, invoices and statements – these documents demonstrate the goods which were ordered were in fact received, and provide evidence about how much was spent and with whom it was spent
- Requisition sheets – these will prove stock was issued from a central store to a specified department describing the quantity and quality of each item thereby enabling the appropriate amounts to be charged against relevant departments by correct budget line/code
- Interdepartmental transfers – similar to internal requisitions, these documents show stock issued to a certain department has been 'on-sold' to another department and must now be charged against them
- Creditors ledger – a detailed explanation of who the business owes money to, and how much.

One main reason for keeping all these items of documentary proof is when an actual budget figure is queried, it can be checked against validating paperwork to identify if a clerical error has been made, or if the figures are in fact accurate.

Physical resources

While plant and equipment are obviously not cash, most businesses keep a record of their physical stock in some form of asset register.

Every item of equipment bought is given an identifying number or code and when the item is issued to a department its whereabouts is recorded in the register.

The asset/assets register may also record the date of purchase, the supplier, when warranties/guarantees expire, the price paid, and date issued to the department, and may also include details about when the item requires maintenance/service and/or replacement.

These asset registers can also be used to allocate expenses against departments when a purchase has been made, for purposes of calculating depreciation and/or for determining replacement costs.

Financial procedures and systems

Financial procedures and systems must address the following:

Transaction recording

Requirements in this regard relate to recording sales made and may include:

- Ensuring all incoming money is recorded and receipted
- Identifying forms of accepted methods of payment – and not accepting payment ion other forms

- Ensuring supporting documentation to validate/authorise all expenses paid
- Providing *pro forma* documentation to support sales and receipts
- Setting maximum limits for spending – for certain staff so expenditure is restricted
- Requiring multiple quotes – for expenditure above a nominated amount
- Appropriate staff training – in transaction recording protocols
- Forwarding all documentation – to nominated persons/departments within designated times.

Checking processes

Requirements in this regard relate to checking of income/revenue and may include:

- Using Daily takings sheets – to record sales on a daily basis
- Reconciling takings – every day when takings are counted and entered on Daily takings sheet
- Recording variances – the unders and overs from each register/POS terminal
- Investigating variances – and reporting/recording findings
- Forwarding supporting reconciliation documentation – with cash/payments received
- Appropriate staff training – in checking and reconciliation protocols.

Banking procedures

Requirements in this regard may include:

- Designating banks/branches to be used – for depositing takings
- Implementing security cash pick-ups – when takings are high and/or on days banks are closed
- Developing operational protocols for banking the takings – to be adhered to by staff with responsibility for banking money
- Generating paper-trail of documentation – form sales to banking
- Requiring receipts – for all money banked
- Appropriate staff training – in banking protocols.

Invoicing

Requirements in this regard relate to outgoing invoices and may include:

- Requiring all invoices to be prepared for all sales – as appropriate to the sale type/transaction
- Insisting invoices are prepared at all times- where required
- Checking invoices – to verify correct charges are levied and all legitimate charges are being included
- Processing invoices – within designated timelines
- Forwarding invoices and/or duplicates – to nominated personnel and/or customers
- Appropriate staff training – in invoicing protocols.

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Accounts payable

This relates to money owed by the business to its suppliers and requirements in this regard may include:

- Verifying accounts received – by matching them with purchase orders and/or other internal authorisations to purchase
- Checking the amounts payable – to confirm they are correct
- Following up discrepancies – and resolving them as appropriate
- Posting charges to the correct budget line/code – according the Schedule of Accounts
- Posting charges internally in accordance with bookkeeping protocols in use – as designed/developed for the business
- Noting payment of accounts – by type/cheque number and date
- Appropriate staff training – in accounts payable protocols.

Cash management and security measures

Requirements in this regard may include:

- Designating currencies which the business accepts – and does not accept
- Identifying currency conversion rates – to be used when processing sales
- Insisting cash registers are never left unattended – at any time the business is open
- Requiring registers to be locked – if the cash area is left unattended
- Stipulating protocols for cash handling and giving change – such as:
  - Stating aloud the cash tendered by customers
  - Counting out the change into customer's hand
  - Leaving notes on register until transaction has been completed
- Never paying accounts using cash – but always by cheque/card
- Closing the business before registers are counted – to guard against theft
- Taking money from register cash drawers when large amounts are present – to limit loss in the event of theft and to reduce temptation for theft
- Dismissing any staff found to be stealing – and taking follow-up legal action
- Keeping cash in safes while on the premises – as opposed to drawers/cupboards
- Appropriate staff training – in cash handling and cash security protocols.

Cash flow management

Requirements in this regard may include:

- Realising and communicating the importance of liquidity to the business – by appreciating 'cash is king'
- Identifying major known, expected or anticipated cash outflows – by date/timing and amount
- Identifying major projected cash inflows – by date/timing and amount

- Determining cash flow status (positive or negative) – across the year/budget period
- Tracking actual income and expenditure – on a regular basis
- Planning in advance – to:
  - Capitalise on investment opportunities
  - Source alternate funds/arrangements where deficiencies are anticipated
- Ensuring collectibles are received – when they are due
- Taking action to increase sales/cash flow – where decreased cash flow/negative cash flow is anticipated.

Budget management

Requirements in this regard may include:

- Developing budgets – as appropriate for the business
- Preparing a Schedule of Accounts – to support the budget process
- Including all relevant persons in the budget process – as appropriate to the individual business
- Allocating appropriate funds to budgets – based on business plans, reason, logic, historic data and sound financial planning
- Insisting budgets are read and reviewed regularly – by all relevant supervisors/managers
- Determining 'red flags' for each budget – which serve as triggers for remedial action
- Creating schedules for senior management/the Board to review all budgets – to check, verify and endorse them
- Appropriate staff training – in budget protocols.

Reporting requirements

Requirements in this regard relate to internal business performance reporting and may include:

- Determining reporting frequency – with which financial and performance reports need to be prepared
- Identifying responsible persons – who are required to generate the nominated reports
- Providing standards report formats – to facilitate reporting and interpretations and understanding of same
- Creating a distribution list – identifying those who are to receive nominated reports
- Requiring reports to be discussed – at identified meetings by nominated persons and for the discussion to be recorded/minuted
- Requiring the outcomes of reports to be incorporated into future budgets and actions – as appropriate to the results, the plans of the business and interpretation of prevailing market/business conditions
- Filing requirements for reports – for future reference.

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Taxation requirements

Requirements in this regard may include:

- Establishing protocols to determine taxation obligations – as imposed by current legislation and as laws change over time
- Setting up a compliant record keeping system – as required by the taxation authority for financial and business records/information and data
- Hiring external professionals with suitable qualifications and experience and expertise – in managing the taxation obligations of other businesses in the same industry/industry sector
- Calculating required taxation payments on a regular/ongoing basis – instead on just once a year at the end of the financial year
- Setting aside money for taxation payment throughout the financial year – instead of trying to find lump sums at the end of the period
- Identifying and aligning with requirements for deducting taxation from employee wages – and forwarding same to the authority
- Seeking advice from the taxation authority – about what is required and regarding compliance procedures.

Statutory requirements

This refers to obligations imposed on businesses by their specific business structure.

For example, a business may operate as:

- A sole trade
- A partnership
- A company/corporation.

Different statutory requirements can apply to different business structures in terms of issues such as:

- Taxation
- Reporting.

Requirements in this regard may relate to:

- Sourcing suitable/experienced professional assistance – to help determine the range of obligations which apply to the business structure being operated
- Establishing appropriate internal polices and polices – to ensure compliance with what is required
- Liaising with appropriate government/statutory agencies – to determine their requirements and obtain advice on compliance.

Sector-specific and/or business-specific requirements

Requirements in this regard relate to funds, schemes or initiatives imposed by government, semi-government bodies, industry bodies or joint venture partners and may include:

- Paying membership, subscriptions or other fees, levies and charges – as directed
- Maintaining for sale nominated services, standards, products or offers – as required
- Participating in schemes/initiatives – as appropriate to the business, industry, contract or sector
- Collecting monies – on behalf of a third party
- Forwarding monies collected – with supporting documentation and evidence of reconciliation.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

1.1 Identify an industry business and interview the owner or a relevant manager and prepare a written report which addresses the following:

- Name and explain the budgets used by the business
- Explain how funds are allocated to each of the identified budgets
- Identify the personnel involved in budget deliberations, discussions and decisions
- Describe how management informs relevant stakeholders of budget decisions and allocations
- Give examples of how the organisation promotes awareness of the importance of budget control to employees
- Describe the facilities and protocols used to maintain records of resource allocation
- Identify organisational financial procedures and systems established to support the use and operation of budgets.

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Summary

Allocate budget resources

When allocating budget resources:

- Identify the budgets used
- Identify the terms used within budgets
- Identify profit and cost centres
- Identify how budget allocations and projections are determined
- Learn relevant percentages which apply to budgets and how they are used
- Involve relevant others in the process
- Use budget notes to record necessary details
- Identify applicable internal financial strategies
- Communicate resource decisions and allocations to relevant stakeholders
- Promote awareness of the need for and importance of budget control
- Establish and maintain comprehensive records.

Element 2: Monitor financial activities against budget

2.1 Check actual income and expenditure against budgets accurately and at regular intervals and prepare financial and/or statistical reports

Introduction

Everyone with responsibility for budgets must take time to check budget performance by comparing actual results with projections.

This section details what is involved in budget-checking and provides a wider context for monitoring financial activities by presenting examples of reports which may be generated as part of the process.

Checking the budgets

The focus of this section is individual budgets as developed for the department/business.

Checks must be undertaken to address all of the following on every occasion:

- Determination of *actual* performance and outcomes against *predicted* performance/expected results – in order to identify if the budget is ‘on track’ or not
- Evaluation of how different revenue and cost centres are performing – in comparative and real-world terms
- Identification of how much money has actually been spent – in certain areas/budgets and budget lines
- Identification of how much money is left/available to spend – by individual budget and different budget lines
- Validation of income shown on revenue budgets – by verifying revenue generated has in fact been allocated/posted to the correct department or budget line
- Validation of costs shown on expenditure budgets – giving an opportunity to verify costs recorded against a department have in fact been created by that department and not by another department, and have been charged against the correct budget and budget line/s
- Identification of warning situations – in circumstances where performance/reality is not matching or meeting expectations and ‘red flags’ are being raised to indicate the need for appropriate remedial action to be taken to improve, retrieve or redress outcomes.

Report types

To gain a full appreciation of the business and how it is performing there will be a need to consider more than just budgets for the department or business.

There can be a need to prepare nominated financial and/or statistical reports.

The information below provides information and detail regarding the areas of Financial and Management accounting, identifying and explaining relevant reports commonly prepared.

Financial Accounting

Financial accounting includes the preparation of financial reports or statements that accurately represent what the business own and owes.

This is called the financial position of the business.

Reports also summarise the results from buying and then selling goods or services that is the profit or loss of the organisation.

It is important to appreciate these reports are produced for a given period of time, usually determined by organisational and external requirements.

There are generally four financial statements or reports produced and whilst their names may differ across countries and regions, the accounting information contained therein remains similar.

Profit and Loss Statement/Income Statement/Statement of Financial Performance

The profit and loss statement presents:

- Revenues earned from sales
- Operating expenses and other expenses been incurred
- Resulting profit or loss over a given period of time – such as six months or one year.

The contents and format of this statement is standardised even though the title may differ.

Balance Sheet/Statement of Financial Position

The balance sheet provides a snapshot of what is owned and what is owed by an organisation at a particular point in time.

Balance sheets are produced at least annually and often every six months.

There are three main sections in a balance sheet:

- Assets
- Liabilities
- Owner’s equity.

Statement of Owner’s Equity/Statement of changes in Equity

This report summarises the changes to owner’s interests in an organisation.

Owner’s interests are the difference between what is owned and owed as well as any profits made by the business, either current or past profits.

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Sometimes organisations include all details of changes to Owner's Equity in the Balance Sheet and others summarise Owner's Equity in the balance sheet and produce a Statement of Owner's Equity separately.

Cash Flow Statement/Statement of Cash Flows/Statement of Cash flow

The cash flow statement details the movement of cash both in and out of the organisation.

These movements are classified into three categories:

- Operating
- Investing
- Financing.

The change in cash balances over the reporting period is also summarised.

Management accounting

Management accounting includes the preparation of financial information to support internal management.

The provision of information that addresses the key characteristics of the tourism and hospitality industries will assist managers with decision-making and the control of the business.

There are also a wide variety of reports, tools and techniques that management accounting offers that are generic to all organisations, large or small.

Management accounting reports also include the same or similar reports as discussed under financial reporting. It is simply the purpose for which the report is produced that changes. For example, a profit and loss statement for financial accounting purposes may be prepared annually but for management accounting purposes may be prepared monthly.

It is likely the format and content will differ slightly as is required by users of the data.

Revenue report

The revenue report for an establishment offering accommodation services provides information to the front office manager regarding occupancy, average daily rates, and comparisons between different periods of time and summarises other revenue sources as required.

A restaurant may seek a report detailing the number of covers and the average spend from each cover.

The revenue report is produced for the period of time as required by managers using the information.

This may be daily, especially in larger accommodation venues, but perhaps only weekly in smaller, owner operated establishments.

Bank reconciliation statement

A bank reconciliation statement summarises the differences between the cash balance recorded by the accounting system and the cash held in the organisation's bank account and shown on a bank statement.

Cash is often at risk from being lost or stolen and preparing a bank reconciliation will reveal any funds that are missing and any errors made either by the financial organisation or within the accounting information system.

It is also important for an organisation to appreciate exactly the funds available.

Differences between the balances from the two sources arise due to timing, errors, fees and charges and delays to deposits.

Reconciling these differences helps to ensure the organisation does not spend funds that are not available.

Additional reports which may be required:

Name/Title of Report	Frequency with which Report may be Generated	Information Contained
Department operating schedule	Daily, Weekly, Monthly	Revenue and expense for each department
Fixed asset schedule	Annually (or as requested)	Lists all fixed assets by location and description
Exception reports (by department and for organisation)	Daily, Weekly, Monthly	Differences between actual and budgeted results
Cash flow summary	Daily, Weekly, Monthly	Actual cash flows compared to budget
Cash budget	Daily, Weekly, Monthly	Plans for future cash inflows and outflows
Payroll cost report	Daily	Labour cost by department
Food/Beverage cost report	Daily	Food and beverage costs by department
Room cost report	Daily	Summarises all costs associated with preparing rooms for guests
Other operating cost summaries	Daily, Monthly	Details any other operating costs management wish to monitor
Purchase order reports	Daily	Summarises the supplies ordered by department
Goods received reports	Daily, Weekly	Records the stock received for the period of time required
Wastage reports	Daily, Weekly	Lists stock that could not be resold to customers
Accounts payable schedules	Weekly, Monthly	Detail the amounts owed to creditors and the due dates
Inventory or stock sheets	Daily, Monthly, Annually	Lists item by item the stock or inventory held on the premises
Daily revenue report	Daily	Details revenue by department
Sales analysis reports: • Occupancy reports • Food and Beverage menu abstracts	Daily, Weekly Monthly	Includes statistical data to analyse specific nature and timing of sales
Daily Takings report	Daily	Summarises cash movements at each point of sale for each shift or day
Daily Cash Received report	Daily	All cash received for the day identifying daily takings and accounts receivable amounts separately

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Name/Title of Report	Frequency with which Report may be Generated	Information Contained
City ledger report (accommodation venues)	Daily	All guest accounts that have not settled their account the previous day
Accounts receivable aging schedule	Monthly (or as needed)	Accounts receivable amounts by days outstanding
Accounts receivable schedule	Daily, Weekly, Monthly	Lists all individual accounts receivable details

2.2 Identify and report discrepancies according to enterprise policy and significance of deviation

Introduction

A standard requirement when checking actual income and expenditure against budgets is the need to identify and report discrepancies.

This section presents a range of discrepancies which may be identified as part of the checks, mentions the concept of 'significance of deviation', discusses enterprise policy which may apply and identifies possible reporting protocols.

Examples of possible discrepancies

When checking actual income and expenditure against budgets possible discrepancies may relate to factors not related to business performance.

These may relate to:

- Data entry errors – due to simple mistakes made by staff when entering information into systems and files, such as:
  - Transpositional or transcription errors – where figures/numbers are inadvertently mixed up and put/entered in the wrong sequence: for example, entering '1234' when it should have been '1324', or entering '123' when '1234' should have been entered
  - Errors in reading and/or interpreting hand-written figures
  - Hitting the wrong key when entering an amount or code
  - Rushing the work being done – and not undertaking proper checks of the completed work
- Sales that should have had an invoice raised – but by error or oversight did not.

  Obviously important where the sale was man account sale and not a cash (on-the-spot) transaction where payment was received at the time for products/services provided.
- Goods not delivered but charged for – for example in situations where an invoice/delivery docket indicates:
  - The business received goods which, in fact, were not supplied
  - The amount/number of items received were less than shown on the accompanying documentation
  - Goods provided were not the same as shown as good ordered/listed on Purchase Orders
  - Goods were returned to the suppliers but no credit has been received for those items
- Posting errors – which might include:
  - Posting of the wrong amount – due to human error or misinterpretation
  - Omitting a posting – where a source documents was simply overlooked, lost or assumed to have been already processed
  - Posting in the wrong column – meaning, for example:

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- Income was shown as an expenses
- Expenditure on food was shown as expenditure on another classification/category of materials

- Posting a transaction more than once – caused by human error of failure by data entry staff to note the source document had already been processed.

Signification of deviation

Context

When checking budgets there will rarely (if ever) be a situation where 'actual' figures exactly meet 'projected' figures.

There will (nearly) always be a variation between the two sets of figures.

This variation is called a 'discrepancy'.

Management by exception

In most cases discrepancies are to be expected and can be effectively noted but otherwise ignored.

However where these deviations are 'significant' they must be acted on in accordance with whatever action is deemed necessary to retrieve/resolve the situation. This is known as 'management by exception'.

This is where (in the context of talking about budgets), management only concerns itself with those figures which fall outside acceptable parameters – that is, figures which are the exception (to the rule).

It is up to each organisation/manager to set the parameters for what constitutes 'exception', and these parameters will vary between businesses and may even be set at different levels for different revenue centres within the one organisation.

For example, management may determine 5% (or 1%, or 2½%) is their 'exception' limit. Therefore when any report shows figures falling outside this limit, the printout will flag ('red flag') them for attention.

In other cases, management may elect to set a monetary figure as their exception limit: in these cases, where revenue is X below budget – or expenditure is X above budget – these lines will be flagged for attention.

Practical considerations

In general terms, in practice:

- An increase in costs is unfavourable
- A decrease in costs is favourable
- An increase in revenue is favourable
- A decrease in revenue is unfavourable.

There are certain circumstances, however, in which these generalities do not apply.

For example, a reduction in expenditure may be regarded as beneficial to the organisation, but if it is achieved at the expense of regular, necessary servicing, maintenance and renewal of equipment, it could lead to long-term problems when machinery breaks down, when health and safety issues from lack of maintenance occur, and when large amounts of equipment have to be bought at a later stage to replace obsolete items.

Similarly, a decrease in revenue is not, in itself, necessarily indicative of a problem, especially in a situation where management have opted for a cut-price promotional campaign aimed at increasing patronage regardless of the profitability generated.

As with many other aspects of business things must be put into context before any useful conclusions on which action is likely to be based can be drawn.

As they say, "Things are often not what they seem to be."

Furthermore, a substantial increase in expenditure cannot be simply seen as a problem or as indicative there is trouble somewhere. The revenue figures must also be considered, because there may be a situation where trade levels are also high and there is a need to make extra, unpredicted purchases to support this increase: naturally.

Again, what could initially be regarded as a favourable variation (for example, monies allocated for advertising have not been spent as predicted) may, on investigation, reveal the department has failed to perform as expected because they have not used their allocated budget which was deemed necessary by management.

Enterprise policy

Enterprise policy in relation to checking budgets and identifying and reporting discrepancies are usually supported by a range of operational procedures and commonly address:

- Frequency with which nominated budgets and reports need to be prepared – and distributed for checking/analysis
- Frequency with which checks are to be made – for nominated budgets and other reports/statements
- Processes/protocols for analysing the documents and statistics – which will be supported by appropriate in-house and on-the-job training
- Basis for determining parameters which constitute notifiable deviations – these are the discrepancies which need to be reported and have recommended action developed to address the situation
- Timeframe within which notifications must be made – when unacceptable situations have been identified
- Personnel/departments who must be informed – when notifiable deviations are identified
- Form of notification – detailing how reports are to be made and identifying required content and/or supporting or allied information and evidence.

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Reporting protocols

Where notifications are required in relation to budgetary discrepancies the standard options and requirements are:

- Immediate verbal report made face-to-face or using the telephone – to the nominated person (such as immediate super-ordinate) or department (accounts, finance, purchasing or other as appropriate to the type of discrepancy)
- Formal presentation – to nominated group/committee
- Being available and prepared to:
  - Respond to questions – form management and relevant others
  - Recommend action – to take in response.

2.3 Advise appropriate colleagues of budget status in relation to targets within agreed timeframes

Introduction

After budgets have been checked and analysed there can be a requirement to inform certain workplace colleagues of the findings.

This section explains why this may be necessary, identifies who may need to be notified, explains possible timeframes and discusses options for providing such advice.

Need to notify others

Some organisations require ‘others’ to be advised of analysis of budgets (and other financial and management/operational reports) and some do not.

There is a wide variation in orientations to sharing/disclosing this information with others within the industry and industry sectors.

Notification may be required to:

- Motivate others – to change their actions to what is required on the basis of recent results/financial performances
- Acknowledge the work of others – whose efforts have enables achievement of positive outcomes
- Keep others informed – of the performance/results of other areas within the larger organisation so they can factor this knowledge into their planning and preparation
- Allow others to learn lessons contained within the results – this can:
  - Prevent others making similar mistakes
  - Enable positive actions to be spread throughout the wider organisation.

Who might be involved?

Those who may need to be informed in relation to findings may include:

- Owner
- Senior management
- The accounts/finance department
- Budget committee
- Supervisors
- Staff – which may relate to:
  - All staff – regardless of role/position or capacity
  - Nominated/key staff – as identified by management.

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Timelines

Agreed timelines are traditionally relatively short for the advising of budget results.

Within 24 hours would be a common timeline.

In most cases – especially where there is a problem or 'crisis' – such information should be communicated ‘immediately/as soon as possible’.

It is also common for departmental heads to communicate the thrust of the report/budget to staff immediately in a condensed/short-form verbal manner and to then follow-up with a more detailed discussion of the situation at a formal and scheduled departmental meeting.

How to advise colleagues

Colleagues can be advised of the status of their budget in the following ways:

- Using written/printed documents such as reports, financial statements and spread sheets – note there may be internal guidelines and requirements limiting or controlling the detail of financial matters which can be passed on to staff, and these must be adhered to.

  Nonetheless these hard copy documents may contain tabulated statistics, ratio calculations, and various percentages.

  The astute reader will no doubt realise almost any situation can be revealed to staff using percentages, as these statistics do not disclose actual monetary figures.

  However, internal protocols in this respect should be identified and followed to the letter.

- Using graphs, charts or diagrams – graphical representation of the printed word/statistic is often the best way to communicate accounting-based information.

  Many people will have trouble reading and understanding a written word/statistic-based budget but will quickly appreciate a well-drawn pie chart, bar graph or line graph.

  These graphical representations may be printed on paper as a handout, converted to an overhead projection sheet, or used in a PowerPoint presentation.

- Providing a verbal presentation/discussion – where information is considered appropriate for release at the time an effective approach in sharing information can be to discuss matters verbally with suitable examples, illustrations and explanations.

  This said, it is a fact of business life much of the accounting/finance information available to management-level personnel does not need to be passed on to staff.

  Talking to staff about the situation can be an appropriate way of disseminating information which is especially useful where things are going well.

  It is quick to do, requires little or no preparation and can send a very positive message to staff in the simplest of forms.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

2.1 Obtain three industry budgets and for each of these prepare a submission addressing the following:

- Describe the purpose of each budget
- Identify the frequency with which these budgets are produced for management attention
- Describe the position of each budget with regard to a comparison of projections against actual results
- Determine percentage of variance/discrepancy
- Evaluate the significance/importance of each deviation
- Describe how relevant others may be advised of the status of these budgets.

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Summary

Monitor financial activities against budget

When monitoring financial activities against budget:

- Check all budgets frequently on a regular basis
- Analyse the figures and determine what they mean
- Ensure full understanding of the purpose/s of all reports generated
- Identify and investigate variances/discrepancies
- Report identified variances/discrepancies in accordance with internal protocols
- Appreciate degree, amount and significance of all variances/discrepancies
- Communicate budget/report information, analysis and findings to relevant others.

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Element 3: Identify and evaluate options for improved budget performance

3.1 Assess existing costs and resources and identify areas for improvement

Introduction

A basic activity in the management of budget performance is the assessment of costs and current positions with a view of determining opportunities for improvement.

This section highlights areas requiring attention in this regard, gives an overview of possible reasons for reduced returns which can (simply by identifying them) indicate action needing to be taken to improve the situation, presents the concept of the 'Control Cycle' as a framework for considering costs and possible improvements to outcomes.

Areas for attention

Part of the requirements of most managerial roles is to identify and evaluate workplace options for improved budget performance.

This will traditionally require assessment of existing costs and practices so areas for improvement can be identified.

Attention will commonly need to be paid to all areas where:

- Actual costs are exceeding projected costs
- Red flags have been raised
- Unacceptable trends are emerging/have emerged
- Unexplained costs have been identified.

The following notes will indicate possible actions – or possible areas for investigation – that may be able to reduce costs and/or increase revenue.

Possible reasons for reduced returns

Reduced returns – that is, less revenue than projected – may be caused by operational issues such as:

- Theft – either of stock (liquor, non-liquor, commodities, food – raw or prepared) or of cash
- Service staff giving serve sizes (food and/or drinks) to friends or other staff that are intentionally or accidentally too big
- Staff undercharging customers or other staff – intentionally or accidentally

- Staff bringing in their own stock (such as bottles of spirits), selling it and pocketing the cash – a 700ml bottle of scotch costing the staff member 25 can be converted into around 100 making this an attractive/tempting means of defrauding the business by robbing it of revenue

- Staff giving away stock – such as meals, drinks, or in-room complimentary gifts to each other or friends
- Setting selling prices calculated on out-of-date cost prices – meaning a lower-than-expected return is achieved
- Incorrect stock takes being done resulting in stock not being included in the stock take and hence not being attributed to the department – which will give a misleading lower performance figure for the department
- Stock being transferred/taken from one department to another without the appropriate internal paperwork (such as an interdepartmental transfer being completed) – this results in a lower performance figure for the department from which the stock was taken, and a higher performance figure for the department that received the stock
- Where staff are entitled, according to house policy to a free ‘knock off’ drink or free staff meal, this privilege may be abused – and staff may be consuming more than one drink for free, or drinking a more expensive drink than what is allowed
- Excessive waste – which may be caused by reasons such as incompetence, inattention/lack of concentration, poor attitude, incorrect techniques, and/or faulty equipment
- Inappropriate selling prices – where selling prices do not reflect the required return such as when 'package deals' are put together, or where items are offered 'on special'
- Failure to bill for all charges – a failure on the part of staff/the property to charge customers for all items sold/used
- Failure to check deliveries – to ensure what is being paid for has actually been delivered to and received by the business.

It is an unfortunate fact all aspects of the features cash and other items people are commonly tempted to steal.

Full control of costs and revenue

Effective control of revenue and costs requires an integrated approach – that is, each aspect of the control system must function in co–operation with every other aspect.

In addition, control must be applied at every stage where stock and cash/revenue is involved.

No part of the operation can be allowed to take place without some form of control being in place.

The Control Cycle

A total control cycle has seven integrated elements – purchasing, receival, storage, issuing, production, service and sales.

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Purchasing

The first control point is purchasing – many problematic situations can be resolved simply by buying better, or by paying more attention to the purchasing phase: there are many aspects to be considered.

Note: wherever people are involved, the opportunity for fraud exists – management must be able to put their trust in all staff who purchase stock as suppliers have been known to offer bribes to win orders.

There is a need to price (and quality) shop for the best price commensurate with the quality required and the quantity to be bought. The end-use of the product must be borne in mind – there is no point buying, for example, top quality carrots that will be puréed.

Quantity discounts must also be sought – if you intend buying 11 cases from a supplier who offers a discount for 12 cases, you may be better off buying the extra case.

Similarly, become aware of 'specials' on offer as they usually represent substantial savings.

Some suppliers offer '13 to the dozen' rather than a discount and this may be an attractive alternative: also it is important to be aware of the deal so the business gets the benefit and it is not misappropriated by staff who make the purchase.

Purchasing must also be done with actual sales in mind: excess stock ties up cash and may create a cash flow problem. A common aim is to have the stock sold and the money in the bank before payment is due.

Accurate forecasting based on actual historical data, advanced bookings, a working knowledge of the industry, and experience is essential.

However, a word of warning – when making a final purchasing decision other 'non-price' factors must also be considered:

- What is their service like?
- Do they deliver when you want it?
- Can they provide continuity of supply?
- What other 'things' can they give you free-of-charge such as free printing of wine lists, coasters, bar runners, menu boards, glasses, ash trays, jugs, painting of premises, extended credit, special in–house promotions.

Receival

The delivery inwards of stock is another opportunity for fraud to occur: intentional short delivery of stock is not unknown with those in collusion either selling or splitting the goods.

All stock must be checked on delivery to verify it is what was ordered and is what is being charged for.

Stock must be counted or weighed, and quality factors checked: where variations from the order are discovered, these must be reported.

In addition:

- All additions and extensions on invoices must be validated
- Periodic Blind receival should be performed
- Prices on the invoice should be checked against the buying/order guide.

Storage

Those responsible for storage must also be trustworthy: the loss of one item here has the same impact as many smaller thefts later. For example, the theft of one 50 litre keg of beer represents the loss of 250 x 200ml glasses of beer.

In addition, stock must be properly stored to protect against product waste or deterioration.

Stores staff must also implement appropriate stock rotation with the most common system being FIFO.

Security is also critical so access to stores must be restricted: staff found there without a valid reason should be questioned/challenged.

Doors, shutters and locks must be kept locked, with key control strictly enforced.

Issuing

It is important to track what stock goes where, and when, so accurate returns and business performance figures can be calculated: this means requisitions (or internal transfers) should support *all* stock movement *without exception*.

These requisitions must be completed accurately, ensuring full details (brand, size, quality, vintage, grade, type and quantity) are included.

In some instances, specific times are set for the issuing of stock, and supply of items outside those times for any reason whatsoever are refused, *even if it means missing out on a sale*.

Deliveries to departments must be checked and signed for.

Discrepancies must be immediately investigated – constant cross-checking helps minimise the chance of fraud or accidental mistake.

If a substitute item has to be supplied, the paperwork must reflect the revised situation.

Production

This is the step where 'raw materials' are converted into a finished product for sale to customers.

Areas to consider in this stage include:

- Wastage must be minimised – this can relate to correct storage, better trimming of raw products, more appropriate serve sizes
- Using appropriate ingredients for the required end product – a 20-year-old gold medal winning wine is inappropriate in a red wine sauce, and expensive steak is unlikely to be chosen for a beef stew
- Use of standardised recipes – for food dishes and drinks to make sure the pre-determined type of ingredient and the pre-determined quantities are used
- Matching production to forecasted needs – thus minimising overproduction: this may include staggered production of items
- Analysis of waste – to determine if savings can be made: there may be a need to modify standard practices on the basis of the findings of this analysis to prevent further waste
- Trying new products and techniques – they may be more appropriate, and also save money

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- Record keeping – to provide information in relation to factors such as wastage due to trim, preparation and shrinkage from cooking, numbers of serves produced from a particular recipe to help with costing.

Service

In this stage, staff must adhere to predetermined serve sizes: this applies to both food and beverage.

Food serve sizes may be determined by weight or numbered spoon size – checks should be made to ensure compliance.

Beverage staff must use the correct size glass for drinks – and be fully aware of the difference between a liqueur and a port glass: far too many staff serve liqueurs (which should be a 30 mls serve size) in port glasses (which hold 60 mls).

A clear policy regarding replacement items must be introduced – covering what should be done in terms of charging, free replacement or alteration to price when complaints are made about a meal, or when a drink is knocked over.

Another clear policy should exist about staff meals and drinks – specifying who is entitled to what, making it quite clear what will happen where non-compliance (fraud/theft) is detected.

Record must also be kept, including audit tapes from registers and sales dockets for each sale. This documentation allows data to be generated (such as average sale per person, average sale per waiter), as well as allowing checking of pricings, additions, and extensions.

Sales

This is where payment is received for what has been supplied.

This stage includes:

- Everything that may be legitimately charged for, must be charged for: all ‘extras’ must be itemised and appropriate monies recouped – this might include charges for things such as garlic bread, corkage, room hire, supply of a special cake, fee for supply of a changing room, tour inclusions, merchandise, insurance
- Payment must only be accepted in the forms approved by the business
- Prompt action to convert payment by cheque, credit card or account into cash
- Elimination of arithmetic/clerical errors that may involve loss to the organisation
- Where discounts are allowed (or commissions are payable), these must be recorded in the appropriate journal so as to still be considered as revenue against the relevant department – discounts must only be given to those who are entitled to them
- Accurate internal documentation and systems to enable the tracking of product movement (and sales) against stock issued.

It may be standard operating procedure to discuss proposed alterations to practices with staff prior to implementing those changes.

Fully explaining why the changes are necessary is a key concept in cementing in place the changes in attitude and practice that are usually required.

3.2 Discuss desired outcomes with relevant colleagues

Introduction

It is common practice for those with responsibility for budgets to discuss desired outcomes with relevant colleagues.

This section discusses generic option outcomes, identifies 'relevant colleagues' and describes the discussion process.

Generic outcome options

In relation to budget performance only three possibilities (plus their combinations) exist in relation to making adjustments to projected budget outcomes:

- Raise targets
- Lower targets
- Leave them as they are.

Debate often takes place not over which option to select but by *how much* initial targets will be modified.

Raise targets

This means setting a higher level for income on the revenue budgets, and increasing the amount available for spending on the expenditure budgets.

Where the decision is taken to exercise this option, there needs to be justification to support the decision.

Examples include:

- All revenue budgets to-date have been achieved or exceeded – so it appears logical to revise the figures to make them more representative of the actual situation
- A special event has been announced – which will draw more people into the area and present the opportunity for increased sales
- A major competitor has withdrawn from the marketplace – meaning the potential for more sales based on less opposition for the same money in the same geographic area or market space
- Where there has been a significant increase in selling prices – which should mean projected sales volumes will return substantially more revenue
- An increase in sales has meant a corresponding increase in purchases – so extra money for materials will need to be allocated
- Limited supply of a prime item has caused a spike in purchasing costs which the business is unable to control – due to the basic economic law of 'supply and demand', so more money for materials is required.

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Lower targets

This means setting a lower level for income on the revenue budgets, and reducing the amount available for spending on the expenditure budgets.

Again, where the decision is taken to exercise this option, there needs to be justification to support the decision.

Examples include:

- Situations where there have been consistent below-budget sales figures
- Information indicating events will be taking place which are going to impact *negatively* on trade – such as being advised about road works, knowing the area will not be attracting as many tourists as hoped because of a specific regional problem, losing a significant local sporting or other event
- The realisation of any unexpected event – strike, natural disaster, outbreak of some disease
- Major repairs to some part of the premises that have necessitated reduced expenditure in other areas – while still striving to maintain the same income stream.

Doing nothing

In many aspects of management doing nothing is a valid managerial response.

In reality it is probably the most common managerial response.

Where an adequate amount of planning and preparation has gone into creating the budgets, and information, feedback and statistics have been sought from a wide variety of sources, it is most likely predictions will be fairly accurate and there will be no need to amend the projections.

While constant fine-tuning of budgets may be seen as active, hands-on management, it can also be counter-productive in that it has the potential to unsettle staff and send messages to staff there are problems (and they may decide to seek employment elsewhere).

Such constant alterations may also give the impression of 'change for change's sake', and a sense management are unable to get it right in the first place.

This can destroy staff loyalty to the company, commitment to its aims and credibility in the management.

‘Relevant colleagues’

In this context ‘relevant colleagues’ include:

- Owners and senior managers
- Middle-level managers and supervisors
- Administration and office staff with bookkeeping/accounting responsibilities
- Operational staff – who have responsibilities for:
  - Spending money on behalf of the business
  - Making sales and/or processing transactions for the organisation.

The discussion process

Discussion of desired outcomes will usually require/involve the following activities:

- A special meeting with all relevant colleagues – convened just for the purposes of discussing budgets, outcomes and action to be taken
- Presentation of figures and budgets – which are the focus of the discussion/ the reason for the meeting: presenting 'projections' and 'actual' figures
- Identification of the rationale/s which underpinned the establishment of allocations/projections – explaining the economic/trading environment at the time and the assumptions on which figures were determined
- Validation of the facts and figures as presented – to prove/verify the situation and demonstrate it is genuine
- Explanation of the facts – describing how the current situation has occurred
- Comparison of results – to:
  - Previous periods
  - Other departments, branches, offices, revenue/cost centres or businesses
- Request for suggestions – to address the identified problem, unacceptable or out-of-control situations
- Recommendations for action – to address/retrieve identified situations.

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3.3 Research new approaches to manage discrepancies

Introduction

Where problems are identified in terms of the budget it may be necessary to undertake appropriate research to determine action to manage issues.

This section presents possible topics for research and describes a range of relevant research techniques.

Research topics

Investigation in this situation should address two primary goals:

- Looking into new approaches to setting the budgets – to make them more realistic
- Investigating the operation of the business – so targets can be achieved.

Research can take place into:

- Verifying the variances/discrepancies are accurate – by:
  - Checking all data has been included for the period and according to the type of document, budget or report
  - Checking there are no arithmetic/calculation errors in the information provided
- The cause of variances – where there appears no obvious reason for the discrepancies, all possibilities are open to investigation from theft to a simple downturn in trade.

  The aim is to determine actual causal factors.

- Identifying whether or not the intended customer/guest profile has changed – and if the business has failed to alter facilities and operations (including image, price levels, service standards, and promotions, products) to match such change.
- The nature of the historical data used to generate the budget – commonly some form of historical data is used to guide the development of budgets for this current period: problematic is the figures being used may relate to a time which is not in-keeping with all the circumstances existing/applying today.

  Businesses often pay *lip service* to the fact they operate in a dynamic environment, but often forget to factor this dynamism into their predictions.

Cost-related and revenue-related issues

For unfavourable variances in cost of goods sold

In these situations there is a need to review:

- Purchase specifications
- Receiving and storing practices
- Issuing practices
- Production practices
- Front of House practices/wastage
- Bookkeeping.

For unfavourable variances in labour cost

In these situations there is a need to review:

- Mix of casual and full time staff
- Specific training of individuals
- Multi-skilling of labour force
- Motivation of staff
- Changes to workplace productivity.

For cash flow/liquidity problems

In these situations there is a need to consider:

- Reducing average inventory to free up cash
- Offering no or restricted credit sales
- Leasing versus buying equipment
- Delaying payments to creditors
- Selling unused assets
- Increasing sales.

For unfavourable variance with sales

In these situations there is a need to consider:

- Auditing internal controls around sales
- Reviewing quality of products being sold
- Analysing competition actions
- Reviewing marketing strategies
- Reviewing adequacy of initial forecast
- Reviewing adequacy of record keeping.

Notes in section 3.1 contain more detail about areas for possible research and action.

Internal and External issues

Internal environment

Examples of changes to the Internal Environment may be due to:

- Labour unrest – staff unhappy with management
- Inadequate finances – such as inadequate working capital
- Absenteeism – staff unhappy and using up their sick leave
- Poor quality food produced – due to poor quality staff, training, ingredients
- Machinery break down – caused by inadequate maintenance, inferior machinery, improper operation.

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External environment

Example of changes to the External environment may be due to:

- Economic conditions – such as decline in general economic outlook
- Changing legislation – such as new employment laws requiring increased labour cost
- Population change – such as reduced or increased numbers in the local area
- Fashion/taste changes – for example, a style of cuisine is no longer fashionable, or is becoming fashionable
- The appearance of a strong new competitor into the marketplace
- Opportunity available through the advent of new technology
- Synergies created as a result of new business partnerships/relationships
- Suppliers – which may require action to:
  - Determine if current suppliers can reduce their selling prices – or generate some cost-saving protocols (such as quantity-based discounts or standing orders)
  - Identify if new, lower-priced suppliers are available – to provide the same products at a lesser cost
  - Evaluate alternative lower-priced products – so the same suppliers provide different products/materials at a reduced cost
  - Discuss with them whether processing of certain items can occur on-site – as opposed to buying in pre-processed, and hence more expensive, products.

Research techniques

Standard market research techniques coupled with basic research activities can be used to provide feedback/data on which to base future action/responses to budget circumstances.

In practice this can involve:

- Personal, targeted observation – take a proactive approach to monitoring and observing what is happening within the business with a view to identifying changes which can (or need to be) made
- Questionnaires – asking guests/customers to complete questionnaires designed to elicit their thoughts about why things are the way they are, and what the organisation can do to better serve them
- Panel interviews/focus groups – assembling groups of past and present customers and asking them about their thoughts
- Analysis of industry information provided by reputable industry sources – such as peak industry bodies/groups, banks, government authorities and suppliers
- Literature and internet research – involving:
  - Reading texts, industry reports and industry journals and reports
  - Visiting relevant websites.

- Discussion with others – who may be:
  - Managers/supervisors within the same business
  - Managers at other offices/operations within the same organisation
  - Previous incumbents
  - Owner-operators of competitor businesses – strange as this sounds, much useful information can be exchanged with those who are essentially competing for the same market especially when the problem being discussed is one of mutual concern.

3.4 Undertake appropriate research to investigate new approaches

Introduction

When new approaches to manage discrepancies have been identified they need to be investigated to determine their viability.

This section discusses innovation and analysis and gives advice to enable practical investigation of new approaches.

Innovation

Innovation can be seen as:

- Anything done for the first time
- Revisions and improvements to existing things.

It is a process embracing concepts such as:

- Initiative – being proactive and seizing the moment when a problem or opportunity presents
- Invention – being creative in developing a new (or revised or improved) product, service or response to a given situation or set of circumstances
- Initiation – implementing, monitoring, supporting and reviewing the new, revised or improved product, service or response.

Innovation in the workplace is generally driven either by:

- A problem, or
- An opportunity.

Application of innovation

Innovation can be applied to just about anything in the workplace and can be effectively and successfully applied to:

- Systems
- Processes
- Products and services.

Types of innovation

Debate exists about the different types of innovation which exist. Some sources will suggest there are two types and other sources offer up to 15 different types.

The following present a range of options from different sources as identified and the type of innovation identified indicates the focus for each.

http://www.business.qld.gov.au/business/business-improvement/becoming-innovative-business/innovation-types offers:

- Incremental innovation – where small/modest changes and improvements are made
- Radical innovation – focussing on totally new products and processes.

These two appear most applicable to managing financial performance within budgets.

The process of analysis

Definition

Analysis underpins investigation and innovation.

Analysis may be defined as:

'A systematic examination and evaluation of data or information, by breaking it into its component parts to uncover their interrelationships'.

(Source: http://www.businessdictionary.com/definition/analysis.html).

Analysis may be:

- Quantitative – focussed on statistics, numbers, figures, ratios, percentages and hard data

  and/or

- Qualitative – focussed on personal thoughts, opinions and reasons (soft data) which answers business questions such as 'Why do customers think this way? Why do they act this way? Why do they come to our venue? Why don't they come to our venue? What would make them visit us?

Purpose

The purpose of analysis is to enable fact-based:

- Decision making, and
- Problem solving.

In relation to 'innovation' with respect to managing financial performances within budgets, analysis is seeking to provide facts about:

- What has caused the budget problem to be addressed?
- What is the most effective response to the problem?
- What opportunities in relation to budgets have arisen?
- What is the best response to capitalise on those opportunities?

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Practical investigation into new approaches

Investigation should involve a range or combination of activities.

Action relying on just one method/option is highly likely to be flawed and unreliable.

Activities which are necessary and have proved effective in the process of investigations of this nature include:

- Establishment of team to conduct the investigation – comprising relevant management, support and operational staff appropriate to the nature of the topic (problem or opportunity) being addressed
- Determination and development of strategies to constitute the investigation process – which may include:
  - Observation and targeted examination – of:
    - Staff practice
    - Customer/guest responses to service delivery and products
    - Queues and waiting times
    - Bottlenecks
    - The actions of competitors
    - The wider (national and international) business environment
  - Evaluation of statistical and written reports – such as:
    - All other budgets associated with the budget which is the subject of investigation/action
    - All relevant financial and statistical reports
    - Costs – this focuses not an amount of expenditure but on type of cost, suppliers used, terms of trade, special deals
    - Revenue – with a focus on identification/breakdown (composition) of sources rather than totals looking at (for example) number of persons/tickets sold; types of tickets; number and type of rooms sold; menu items ordered by guests
    - Incident and accident reports
  - Conducting surveys – face-to-face interviews of, and the application of questionnaires to customers (individuals, families, school groups, tourist groups):
    - On arrival – what are they expecting? How did they buy their ticket?
    - During their tour, visit or stay
    - On departure – to identify visitor satisfaction, suggestions for improvement
  - Collection/capture of data and information – involving:
    - Review of secondary data – business records and statistics which are available/on file
    - Generation of primary data – to fill the gaps left by consideration of your secondary data
    - Compilation, manipulation and consideration of soft and hard data.

- Identification of support for implementation of the investigation process – such as:
  - Allocation of responsibility for action to nominated persons
  - Allocation of resources required to undertake the identified activities which comprise the agreed research/investigation
  - Determination of timelines for action, reporting and final analysis and decision making
- Decision making based on analysis and investigation – which may indicate need to:
  - Conduct a trial, test or pilot of a proposed initiative – to monitor and evaluate results/outcomes in order to determine viability
  - Revise the budget – as appropriate based on findings/analysis, for example in terms of:
    - Changing basis on which funds are allocated
    - Allocating more/less funds
    - Re-calculating projections/expectations
  - Take operational action to reflect indicators/facts revealed by the research/analysis/investigation – which can cover an extremely wide range of options such as:
    - Altering prices, service standards, suppliers, product mix
    - Targeting new markets and revised market positioning
    - Closing departments, areas, offices, individual businesses – or *expanding* the services/hours.

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3.5 Define and communicate clearly the benefits and disadvantages of new approaches

Introduction

When new approaches to addressing budget issues have been determined they will need to be communicated to relevant others.

This section addresses methods of communication, identifies those who need to be advised and describes the content of the notification.

Methods of communication

When research has been undertaken into what new approaches to business practice should be implemented to enable/support changes to improve or manage budget performance these new approaches must be communicated throughout the organisation to relevant others.

Communication methods used will generally involve:

- Written information – which may take the form of:
  - Hard copy handouts
  - Memorandum
  - Emails
- Verbal information – provided at:
  - Budget meetings
  - Specially convened meetings
  - Staff meetings
  - Management meetings
- Formal presentation – featuring:
  - Written information on boards
  - Handouts
  - Overhead slides or PowerPoint slides
  - Verbal explanations
- Training – which may comprise:
  - Theory
  - Practical demonstrations
  - Case studies
  - Exercises.

Relevant others

Exact description of relevant others will depend on the nature and extent of the new approaches being adopted.

An indicative list will comprise:

- Owners
- Senior managers
- Head office representatives
- Administration and office/support (accounting and bookkeeping) staff
- Operational staff – with direct involvement with the initiative to be introduced.

While it is sometimes useful to allow staff to discuss certain managerial aspects of the business in order to enable them to contribute opinions and make input, budgetary matters are often made unilaterally: that is, the decision is made, and compliance is expected.

There is little or no room for staff input once the decision has been made.

Staff are usually simply *informed* of the changes and expected to comply.

The reasons for the changes may or may not be explained and company policy or managerial directives in relation to this must be followed.

Content

Content of communication relating to new approaches should address:

- Rationale for the changes – explaining why the changes were needed, what triggered them and what was likely to happen if the changes were not introduced
- Identification of options considered but rejected – as part of the investigation process, together with:
  - Details of the research undertaken
  - Reasons for rejection
- New/revised roles and responsibilities – of individual staff impacted by the initiatives
- Schedule for introduction – which may detail:
  - Transitional arrangements
  - Dates for implementation
- Support for the change – for example in terms of:
  - Resources
  - Training
  - New/revised authorisations/scopes of authority
  - Policies and procedures
- Benefits and disadvantages attaching to the new approach – as appropriate to:
  - Business viability and expected results/outcomes
  - Operations on a practical day-to-day basis

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- Customers

  Strategies/advice for dealing with identified potential customer disappointment/dissatisfaction as a result of the new approaches must also be included.

- Distribution of relevant documentation – such as:
  - New/revised budgets
  - New/revised formulae for determining budget percentages
  - New/revised *pro forma* documents
  - New/revised policies and procedures to support the new/revised approaches.

3.6 Take account of impacts on customer service levels and colleagues in developing new approaches

Introduction

It is vital to consider the impact of new approaches on customer service and operational staff.

This section highlights the importance of customer focus, addresses consideration of staff when workplace changes occur and identifies aspects to take into account.

Need for Customer focus

The customer – an attempt at definition

In what is essentially an accounting/financial-based unit it is important to be reminded of the customer in a business sense.

A customer can be seen as:

- A person on the receiving end of what the business offers
- Someone who is willing to pay a fair price for a quality product and wants to be neither over-charged nor under-served
- The reason the company is in business
- Someone who has certain needs and wants them filled and who, if the business cannot fill those needs will go to a competitor who will

Important points

The quality of service is realised by the customer and is interpreted and perceived by him or her – this means quality of service is not defined by those who deliver it ('you'), but by those who receive it.

The point from the above is there is really not one 'thing' called a customer – customers are all *individuals* and come with individual needs and expectations.

The business has to recognise, and treat them as, individuals.

Staff and the organisation must actually act in a manner acknowledging without them the business ceases to function.

The old saying 'it's the customers who pay the wages, not the boss' is true.

Unfortunately, all too many premises and staff members only realise how true this saying is when it's too late and the customers are 'voting with their feet' and spending their money somewhere else.

It is a very sobering exercise to take the phone book and have a quick look to see other hotels, clubs, restaurants, bistros, take-aways, travel agencies, tour operators or whatever there are for the customer to choose from.

They have more than one choice.

Most other places offer a similar product *so it is often the service – the standard of service, the level of service, how that service is delivered – that differentiates one place from another.*

The Customer is …

The following is displayed on posters around the world – sometimes it is hung up in staff rooms and sometimes it graces the walls of the manager's office.

It is a pretty good description of who the customer is, and sends a fairly clear message about how businesses should treat them.

> "The customer is not dependent on us, we are dependent on them.
>
> The customer is not an interruption to our work, they are the sole reason for it.
>
> The customer does us a favour by walking in or phoning up, we don't do them a favour by serving them.
>
> The customer is part of our business, not outside it.
>
> The customer is not a statistic; the customer is a human being with feelings and emotions.
>
> The customer is not someone to argue with, or match wits with.
>
> The customer brings us their wants and needs, and it is our job to satisfy them.
>
> The customer is deserving of the most courteous and respectful attention we can give them.
>
> The customer is the lifeblood of our business, because without them there is no business.
>
> This is what a customer is."

The moral of the story

The reasons to consider the customer when developing new approaches are to make sure:

- Their opinions and thoughts are captured – and factored into decisions
- Negative impacts on them are eliminated or at least minimised
- Action is developed to address potentially negative impacts
- The business and what is provides remains attractive to the customers the organisation wants to serve.

Consideration of staff

Any changes made in the workplace – regardless of how small they may appear – are likely to have repercussions.

The impacts of the changes will vary depending on the nature and size of the changes, together with those who are affected, and how the change is explained and introduced.

Any change that is explained to those whom it affects stands a much greater chance of being accepted and genuinely complied with.

Planned and unplanned change

Change may be planned or unplanned.

While it is not possible to plan all changes required in the workplace, planned change stands a far better chance of effective implementation than unplanned change does.

However where unplanned change is demanded by an emergency situation, workers generally are prepared to recognise the changed situation for what it is and respond positively to it.

Whether the change is planned or unplanned, it may be seen as requiring the supervisor to work through three phases:

- Unfreezing the present situation/mind set
- Changing the situation to the way it is to be
- Resetting the change into the established and accepted working routine of staff.

The basis for successfully implementing change is the provision of sound, honest, accurate, up-to-date information about the topic in question.

Supervisors and managers wanting to implement workplace change must be able to access/source sufficient information to pass on to staff to allay their fears, explain the change and 'prove' its worth.

Explanation and a timeline for introduction will smooth the transitions: adjustments can always be made to anything provided sufficient attention and support is provided.

Keys to implementing the changes include being able to provide answers to the following questions:

- How will this improve customer service?
- What effects will it have on products and services?
- How will the staff cope?
- Are extra training/resources required?
- Is there now too much emphasis on financial goals?

Practical aspects to consider

As a supervisor/manager there is always a need to consider the following staff-related issues when preparing for workplace change:

- Training – is new/different training required?
- Hiring and firing – will new staff need to be employed, or existing staff made redundant?

- Rosters – what impact will the changes have on staffing the organisation?
- Amendments to:
  - Existing job descriptions
  - Roles and responsibilities
  - Scopes of authority
  - Organisational structure
  - Reporting
  - Internal communication.

3.7 Present recommendations clearly and logically to the appropriate relevant stakeholders

Introduction

Recommendations to improve budget performance may need to be presented to various people or departments.

This section identifies who recommendations may need to be made to and lists possible inclusions when recommendations are made.

Who should recommendations be distributed to?

Recommendations may need be presented to:

- Senior management
- Owners
- Personnel manager
- Sales manager
- Finance manager
- Heads of departments
- Supervisors
- General staff.

What should be included in the recommendations?

It is essential recommendations are made in a clear, logical and in a timely fashion.

Recommendations should address the following points:

- An overview of the position being faced – and some background to the problem/issue being addressed
- Explanation of the steps which have been taken – to investigate, research and illuminate the issue
- Detail of any collaboration that was undertaken as part of the research/investigation process – including co-operation from various areas, and input made from different sources

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- An overview/outline of all the possible solutions which were identified – this should include relevant costs, any perceived difficulties with implementation (legislative problems; staff training requirements; alterations to policies, procedures and practices; changes to service times or standards)
- Presentation of preferred options – and why they were chosen over the others identified above
- Detailed costing for the preferred options – together with timelines for implementation, identification of problems with implementation, and plans to overcome the identified problems
- A final paragraph urging the suggested recommendations – giving personal endorsement and noting expectation of unanimous support from others
- Attachments of relevant documentation the processes uncovered – such as:
  - Quotes
  - Written recommendations from others
  - Relevant extracts from pieces of legislation
  - Reports
  - Articles
  - Supplier's data – terms of trade, purchasing guides.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

3.1 Prepare a document which could be used by staff in an identified industry organisation to assist with identifying and evaluating options for improved budget performance.

Your submission must address all of the following:

- Assessment of existing costs
- Identification of areas for improvement
- Stakeholders/relevant others to be included as part of the discussions/deliberations
- Research into new approaches to address identified unacceptable performance
- Definition and communication of benefits and disadvantages of identified initiatives to improve budget performance
- Consideration of the impact proposed initiatives to improve budget performance will have on customers/service delivery
- Presentation of recommendations for action.

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Summary

Identify and evaluate options for improved budget performance

When identifying and evaluating options for improved budget performance:

- Focus on areas of importance/significance
- Pay attention to red flags
- Identify, determine and/or acknowledge possible reasons for outcomes
- Use 'The Control Cycle' to provide operational parameters and context for deliberations
- Discuss situations and finding with relevant others
- Investigate and analyse options for action to respond to unacceptable results
- Research and analyse options for action to extend/consolidate acceptable outcomes
- Communicate research into new approaches to relevant others
- Explain decisions made
- Integrate effects on customer service into decisions made
- Present and promote recommendations for action.

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Element 4: Complete financial/statistical reports

4.1 Complete all required financial and statistical reports accurately and within designated timelines

Introduction

All budget-related financial reports must be prepared accurately and completed within timeframes required by the business.

This section gives reasons reports are used, repeats previous information identifying reports which may need to be produced, presents the basics of reports provided, indicates common 'designated timelines', looks at a range of keys underpinning the production of these reports and presents a glossary of accounting-related terms.

The need for reports

Operational reports can be seen as providing:

- A communication link between management and staff – in an organisation where, say, the business operates 24 hours per day, seven days each week no-one can be there all the time so these reports provide one way of making sure everyone receives vital information they need in order to do their job
- An historical database – which builds into a useful management tool available to be used to assist with future deliberations and predictions
- Business data to managers – which can inform and assess operational performance against budgets.

Report types

(Please note this sub-section essentially duplicates information presented in section 2.1)

The following financial and/or statistical reports may need to be prepared:

Name/Title of Report	Information Contained
Balance Sheet/Statement of Financial Position	The balance sheet provides a snapshot of what is owned and what is owed by an organisation at a particular point in time in relation to assets, liabilities and owner's equity
Statement of Owner's Equity/Statement of changes in Equity	This report summarises the changes to owner's interests in an organisation
Cash Flow Statement/Statement of Cash Flows/Statement of Cash flow	The cash flow statement details the movement of cash both in and out of the organisation classifying them into Operating, Investing and Financing categories
Bank reconciliation statement	Summarises the differences between the cash balance recorded by the accounting system and the cash held in the organisation's bank account and shown on a bank statement
Department operating schedule	Revenue and expense for each department
Fixed asset schedule	Lists all fixed assets by location and description
Exception reports (by department and for organisation)	Differences between actual and budgeted results
Cash flow summary	Actual cash flows compared to budget
Cash budget	Plans for future cash inflows and outflows
Payroll cost report	Labour cost by department
Food/Beverage cost report	Food and beverage costs by department
Room cost report	Summarises all costs associated with preparing rooms for guests
Other operating cost summaries	Details any other operating costs management wish to monitor
Purchase order reports	Summarises the supplies ordered by department
Goods received reports	Records the stock received for the period of time required
Wastage reports	Lists stock that could not be resold to customers
Accounts payable schedules	Detail the amounts owed to creditors and the due dates
Inventory or stock sheets	Lists item by item the stock or inventory held on the premises
Daily revenue report	Details revenue by department
Sales analysis reports: • Occupancy reports • Food and Beverage menu abstracts	Includes statistical data to analyse specific nature and timing of sales

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Name/Title of Report	Information Contained
Daily Takings report	Summarises cash movements at each point of sale for each shift or day
Daily Cash Received report	All cash received for the day identifying daily takings and accounts receivable amounts separately
City ledger report (accommodation venues)	All guest accounts that have not settled their account the previous day
Accounts receivable aging schedule	Accounts receivable amounts by days outstanding
Accounts receivable schedule	Lists all individual accounts receivable details

Report components

A 'typical' report probably does not exist as their format and content varies widely depending on:

- The software in use – to produce the reports
- Historical use of paper-based documents – and how they have changed/emerged over time to best suit the needs of the business
- User preference – for layout and content.

This said, reports will/should contain certain basic elements:

- A statement of purpose – identifying the type of report and its intention – so readers are clear about what each report is all about
- Subject topic – a note explaining the exact focus of the document
- The nature of the contributory evidence – explanation or verification of sources, information and the period used as the basis for the report
- A conclusion – a plan of action flowing from the evidence contained and logical in nature, formulated from the proof/facts provided in the report
- Identification as to who generated the report – together with its intended target audience (by individual names or positions/titles)
- Authorisation – an indication as to who has authorised the report.
- Date of the report – in terms of:
  - Date report was prepared
  - Period to which report relates.

Common timelines

Each business will determine what it regards as 'designated timelines' for budget reports.

Standard timelines include:

- Daily
- Weekly
- Monthly.

It is not *common* for budget-related reports to be prepared on a daily basis even though other operational reports (for example, 'exception reports' – see next section) are often generated on this basis.

Keys underpinning information produced

Requirements

It is essential all reports prepared are:

- Accurate – they must:
  - Be honest in what they contain
  - Contain all relevant data for the period in question
  - Never intentionally include misleading information
  - Never intentionally exclude important negative data
  - Reflect actual performance, results and outcomes
- Clear – they must:
  - Easily understood
  - Be prepared in accordance with the accepted format/layout for the individual business
  - Use simple language and standard accounting-based terminology (see below)
- Concise – they should:
  - Avoid unnecessary information
  - Provide the basics – the reader is then obliged to follow-up issues/figures doing their own research and investigation
  - Include additional/supplementary and/or explanatory information as Appendices to the report
- Time-relevant – they must:
  - Be prepared in a timely manner – by the times required by the organisation or as imposed by external requirements
  - Be clearly annotated to show the period to which they relate
  - Contain comparative data to allow evaluations with other time periods

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Actions required

To help achieve this, the following should apply:

- Use *pro forma* templates – as the basis for preparing reports
- Refer to previous sample reports for the purposes of modelling production of reports – in terms of topics such as layout, information contained, detail
- Double-check all figures used – looking for transposition errors
- Use source documentation – as the basis for statistics included
- Verify the period to which source data relates – to ensure only statistics for the period in question are being used
- Ensure all source materials are filed – and available for further reference if required
- Double-check all calculations – to verify totals, extensions and percentages correct
- Review reports prior to release/distribution – to check for errors and omissions
- Provide a 'draft' version of the report to a trusted colleague (or designated internal person) for their perusal and approval – prior to finalising the report and releasing it for general consumption.

Glossary of accounting terms

Word/term	Explanation/definition
Accounting	The process of recording, analysing and interpreting the financial effect of business transactions
Accounting equation	The relationship between the accounting elements of a Business: Assets = Liabilities + Owner's Equity (also the layout of a balance sheet)
Accounting period	The period in which the reporting process takes place
Accounts payable	A current liability owed to a supplier for good or services purchased on credit (see creditors)
Accounts receivable	A current asset representing money due for services performed or merchandise sold on credit (see debtors)
Assets	Economic resources that are owned or controlled by an entity
Bad debt	An uncollectible account receivable
Balance day	The end of each reporting period
Balance sheet report	See statement of financial position
Capital	The owner's investment in the business
Cash flow	The recording of all receipts and payments made by a business
Cash payments journal	A journal that records cash payments to all sources

Word/term	Explanation/definition
Cash receipts journal	A journal that records cash received from all sources
Chart of accounts	A list of ledger accounts classified in a numerical sequence according to type (assets, liabilities, owner's equity, revenue and expense)
Cost of goods sold	The expense incurred to purchase or manufacture the product sold to customers
Creditors	See accounts payable
Current asset	Asset of the business readily converted to cash within 12 months
Current liability	Debt of the business that must be paid within 12 months
Debits and credits	How increases and decreases in ledger accounts are expressed
Debtors	See accounts receivable
Drawings	Withdrawals of earnings by the owners for their own use
Expense	Costs or outgoings incurred in the normal course of business to generate revenues
Gross profit	The excess of sales revenue over the cost of goods sold
Interest paid	An expense relating to money owed
Interest received	A revenue derived from investments
Internal control	Safeguards in the form of policies and procedures established to protect assets and ensure accurate financial reports
Inventory	See stock
Journal	An accounting record in which transactions are first summarised chronologically
Ledger	A record of accounts used by a business for recording its financial transactions (Assets, Liabilities, Owner's Equity, Revenue and Expenses)
Liabilities	Amounts owed by the business to creditors, governments, employees, and other parties
Mortgage	A bank loan secured by property or other assets
Net profit	A measure of the overall performance of a business; equal to revenues minus expenses for the period
Non-current asset	Asset of the business not likely to be converted to cash within 12 months

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Word/term	Explanation/definition
Non-current liability	A debt of the business that is not to be repaid within 12 months
Overdraft	A negative bank balance (effectively a bank loan)
Owner's equity	The ownership interest in the assets of an entity; equal total assets minus total liabilities
Petty cash	A small amount of cash kept on hand for making miscellaneous payments
Profit and loss report	See statement of financial performance
Purchases	Expenses in relation to of stock to sell to customers
Purchases journal	A journal that records purchases of stock on credit
Retained earnings	The portion of a corporation's owners' equity that has been earned from profits and not distributed to stockholders
Revenue	Increases in a company's resources from the sale of goods or services
Sales	Revenue from the sale of goods or services to customers
Sales journal	A journal that records sales of goods on credit
Source document	An original record of a transaction undertaken by the business eg. purchase order, invoice, receipt, cheque butt
Statement of financial performance	The financial statement that shows the profit performance of a business over an accounting period (profit and loss report)
Statement of financial position	The financial statement that shows the assets, liabilities, and owners' equity of an entity at a particular date (balance sheet report)
Stock	Goods that can be sold to customers (inventory)
Transactions	Exchange of goods or services between entities (whether individuals, businesses, or other organisations), as well as other events having an economic impact on a business
Trial balance	A list of the balances of all ledgers accounts at balance

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4.2 Produce clear and concise information to enable informed decision making Forward reports promptly to the appropriate person/department

Introduction

Budget reports produced are intended to give stakeholders information to help them make decisions based on evidence and fact.

This section identifies stakeholders and discusses how the information may be used by them.

Stakeholders

Stakeholders who may seek to obtain financial/statistical reports of the business can include:

- Owners of the business
- Managers
- Shareholders and investors
- Joint business partners
- Creditors
- Employees
- Government agencies/authorities.

General uses of this information

Owners

Owners may use this information to decide:

- If the business is earning a satisfactory profit
- Whether the operation is using its short-term and long-term assets efficiently
- If the ROI is acceptable
- Whether or not continue operating the business – or to sell it, or move into another business
- About trade/results for 'this period' with historic data
- On issues regarding further investment in the business, expansions, refurbishment, upgrades – or contraction and/or deferment of plans for improvements/maintenance.

Managers

Managers may use this information to decide:

- If the organisation will be able to pay its debts on time

- Size and value of inventory
- Business performance outcomes
- Effectiveness/success of business initiatives
- Accuracy of predictions/projections – against actual results
- Areas which require/demand remedial attention – and areas indicating where positive results may be able to translated to other sections of the business.

Shareholders and investors

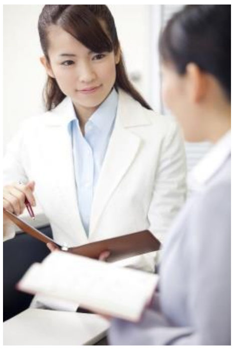
Shareholders and investors may use this information to decide:

- If they should buy or increase their stake/interest in the business
- Their voting at AGMs – and other meetings
- Orientation to further/future investment in the business
- Comparisons between individual companies in the same industry/sector
- What they believe will be the future returns, earnings or dividends.

Joint business partners

Joint business partners may use this information to decide:

- Ongoing viability of the organisation and the current arrangements
- Degree of alignment with promises made about performance and actual outcomes
- Comparisons between this company and other options for partnerships
- Capacity of the business to pay levies, charges, fees, dues, commissions, returns
- Possible future performance on the basis of past performance
- How the financial results reflects on the brand/image of the partner.



Creditors

Creditors may use this information to decide:

- Capacity of business to pay/re-pay principle, interest, money owed
- Security
- Whether or not to continue a business relationship with the organisation
- Interest rates based on degree of risk
- Restrictions/limitations on further borrowings
- Changes to terms of trade.

Employees

Employees may use this information to decide:

- Job security issues
- Potential of the business for career development and promotion/job prospects
- Capacity of the organisation to pay wages and meet employment-related obligations
- Effectiveness of business management
- Outcomes of workplace initiatives they have been associated with
- Evaluations between different organisations in the same industry/sector.

Government agencies/authorities

Government agencies/authorities may use this information to:

- Determine compliance-related issues
- Decide ability to pay government-imposed charges, taxes and similar
- Source evidence in relation to payments made – by government to the business, and by the business to government
- Capture required/specified industry-specific data.

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4.3 Forward reports promptly to the appropriate person/department

Introduction

Once financial reports are prepared and finalised, they are ready to be distributed to relevant parties.

This section addresses this distribution process to ensure confidentiality and integrity of financial information is maintained.

Confidentiality

All financial reports contain information regarded as confidential/commercial-in confidence.

It is potentially dangerous to the viability of a business if it falls into the wrong hands and needs to be protected to ensure it is not accessed by unauthorised persons or the competition.

Keys to ensuring this are:

- Limiting the people involved in preparing the reports – to the minimum required to do the job properly
- Training staff regarding the need to keep report information confidential – through specific on-the-job training highlighting why confidentiality of this information is critical
- Printing/producing only the required number of copies of reports – and no extras/spare copies
- Distributing reports strictly in accordance with the approved Distribution List for the report type – see below
- Protecting computers with passwords – and not disclosing same to others
- Requiring signing out and signing back in of confidential information – to deter unauthorised access and enable identification of breaches
- Maintaining security of the office environment – through closed and locked doors, use of lockable filing cabinets and restricted access to administration areas.

Distribution processes

The two critical elements of the distribution process for reports are:

- The Distribution Schedule
- The Distribution List.

Distribution Schedule

Distribution schedules identify:

- Name of report to be prepared
- Reporting period covered by the report
- Date report is to be completed.

Distribution List

Distribution Lists identify:

- Personnel to receive report – by position and name
- Distribution method to be used for each person – such as electronic or hard copy.

Examples of recipients

The following are an indication of who may be named on a Distribution List:

- Owners
- Senior management
- Personnel manager
- Sales manager
- Finance manager
- Heads of departments/sections
- Supervisors
- General staff.

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Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

4.1 For an identified industry business prepare a written report which describes their protocols in relation to completing internal financial/statistical reports addressing all of the following topics:

- Name of the business and person/s interviewed for the Work Project
- Names/titles of all financial/statistical reports produced including details of
  - Frequency with which they are produced
  - Reasons they are produced
  - Distribution Schedule and List
- Action required by recipients in response to receiving these reports
- Internal policies and procedures relating to production and distribution of financial/statistical reports.

Summary

Complete financial/statistical reports

When completing financial/statistical reports:

- Adhere to designated timelines
- Make sure all required reports are produced
- Ensure accuracy, clarity and conciseness
- Use accepted internal templates
- Understand all terms used
- Distribute reports according to approved Distribution List and Schedule only
- Maintain confidentiality provisions.

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Presentation of written work

1. Introduction

It is important for students to present carefully prepared written work. Written presentation in industry must be professional in appearance and accurate in content. If students develop good writing skills whilst studying, they are able to easily transfer those skills to the workplace.

2. Style

Students should write in a style that is simple and concise. Short sentences and paragraphs are easier to read and understand. It helps to write a plan and at least one draft of the written work so that the final product will be well organised. The points presented will then follow a logical sequence and be relevant. Students should frequently refer to the question asked, to keep 'on track'. Teachers recognise and are critical of work that does not answer the question, or is 'padded' with irrelevant material. In summary, remember to:

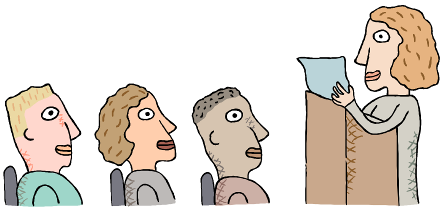
- Plan ahead
- Be clear and concise
- Answer the question
- Proofread the final draft.

3. Presenting Written Work

Types of written work

Students may be asked to write:

- Short and long reports
- Essays
- Records of interviews
- Questionnaires
- Business letters
- Resumes.



Format

All written work should be presented on A4 paper, single-sided with a left-hand margin. If work is word-processed, one-and-a-half or double spacing should be used. Handwritten work must be legible and should also be well spaced to allow for ease of reading. New paragraphs should not be indented but should be separated by a space. Pages must be numbered. If headings are also to be numbered, students should use a logical and sequential system of numbering.

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Cover Sheet

All written work should be submitted with a cover sheet stapled to the front that contains:

- The student's name and student number
- The name of the class/unit
- The due date of the work
- The title of the work
- The teacher's name
- A signed declaration that the work does not involve plagiarism.

Keeping a Copy

Students must keep a copy of the written work in case it is lost. This rarely happens but it can be disastrous if a copy has not been kept.

Inclusive language

This means language that includes every section of the population. For instance, if a student were to write 'A nurse is responsible for the patients in her care at all times' it would be implying that all nurses are female and would be excluding male nurses.

Examples of appropriate language are shown on the right:

Mankind	*Humankind*
Barman/maid	*Bar attendant*
Host/hostess	*Host*
Waiter/waitress	*Waiter or waiting staff*

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Recommended reading

Note: all Recommended Reading is sourced from 'Trove: National Library of Australia' at http://trove.nla.gov.au/.

Braun, Karen Wilken & Tietz, Wendy M 2015, *Managerial accounting*, Fourth edition, Boston Pearson

Jagels, M.G., 2007 (9th ed'n),*Hospitality management accounting*, John Wiley & Sons, Hoboken, NJ.

Edmonds, Thomas P 2015, *Survey of accounting*, Fourth edition, New York, NY McGraw-Hill Education

Feinstein, A.H. & Stefanelli, J.M., 2008 (7th ed'n), *Purchasing: selection and procurement for the hospitality industry*, John Wiley & Sons Inc, Hoboken, NJ.

Guilding, C., 2009 (2nd ed'n), *Accounting essentials for hospitality managers,* Elsevier/ Butterworth-Heinemann, Amsterdam; Boston; London.

Guilding, C., 2002, *Financial management for hospitality decision makers*, Butterworth-Heinemann, Boston , MA.

Schmidgall, R.S., 2011 (7th ed'n), *Hospitality industry managerial accounting*, American Hotel and Lodging Educational Institute, Lansing. Michigan.

Van der Wagen, L. & Goonetilleke, A., 2012 (3rd ed'n), *Hospitality management: strategy and operations*, Pearson Publications, Frenchs Forest, NSW.

Williams, Jan R 2015, *Financial accounting*, 16th edition, New York, NY McGraw-Hill Education.

Trainee evaluation sheet

Manage financial performance within a budget

The following statements are about the competency you have just completed.

Please tick the appropriate box	Agree	Don't Know	Do Not Agree	Does Not Apply
There was too much in this competency to cover without rushing.	☐	☐	☐	☐
Most of the competency seemed relevant to me.	☐	☐	☐	☐
The competency was at the right level for me.	☐	☐	☐	☐
I got enough help from my trainer.	☐	☐	☐	☐
The amount of activities was sufficient.	☐	☐	☐	☐
The competency allowed me to use my own initiative.	☐	☐	☐	☐
My training was well-organised.	☐	☐	☐	☐
My trainer had time to answer my questions.	☐	☐	☐	☐
I understood how I was going to be assessed.	☐	☐	☐	☐
I was given enough time to practice.	☐	☐	☐	☐
My trainer feedback was useful.	☐	☐	☐	☐
Enough equipment was available and it worked well.	☐	☐	☐	☐
The activities were too hard for me.	☐	☐	☐	☐

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The best things about this unit were:

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The worst things about this unit were:

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The things you should change in this unit are:

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Trainee self-assessment checklist

As an indicator to your Trainer/Assessor of your readiness for assessment in this unit please complete the following and hand to your Trainer/Assessor.

Manage financial performance within a budget

		Yes	No*
Element 1: Allocate budget resources			
1.1	Allocate funds according to agreed priorities and adopt sound financial management strategies	☐	☐
1.2	Discuss with appropriate colleagues prior to implementation	☐	☐
1.3	Consult and inform all relevant stakeholders in relation to resource decisions	☐	☐
1.4	Promote awareness of the importance of budget control	☐	☐
1.5	Maintain detailed records of resource allocation in accordance with enterprise financial procedures and systems	☐	☐
Element 2: Monitor financial activities against budget			
2.1	Check actual income and expenditure against budgets accurately and at regular intervals and prepare financial and/or statistical reports	☐	☐
2.2	Identify and report discrepancies according to enterprise policy and significance of deviation	☐	☐
2.3	Advise appropriate colleagues of budget status in relation to targets within agreed timeframes	☐	☐
Element 3: Identify and evaluate options for improved budget performance			
3.1	Assess existing costs and resources and identify areas for improvement	☐	☐
3.2	Discuss desired outcomes with relevant colleagues	☐	☐
3.3	Research new approaches to manage discrepancies	☐	☐
3.4	Undertake appropriate research to investigate new approaches	☐	☐
3.5	Define and communicate clearly the benefits and disadvantages of new approaches	☐	☐
3.6	Take account of impacts on customer service levels and colleagues in developing new approaches	☐	☐
3.7	Present recommendations clearly and logically to the appropriate relevant stakeholders	☐	☐

		Yes	No*
Element 4: Complete financial/statistical reports			
4.1	Complete all required financial and statistical reports accurately and within designated timelines	☐	☐
4.2	Produce clear and concise information to enable informed decision making Forward reports promptly to the appropriate person/department	☐	☐
4.3	Forward reports promptly to the appropriate person/department	☐	☐

Statement by Trainee:

I believe I am ready to be assessed on the following as indicated above:

Signed: ______________________________ **Date:** ____________

Note:

For all boxes where a **No*** is ticked, please provide details of the extra steps or work you need to do to become ready for assessment.

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